Y COMBINATOR AGREEMENT

This Y Combinator Agreement (the "**Agreement**") is made as of by and among Claybird Inc., a Delaware corporation (the "**Company**"), the founders listed on the signature page hereto (collectively, the "**Founders**"), Y Combinator ES24, LLC ("**YC ES**"), and YC ESP24, L.P. ("**YC ESP**," and together with YC ES, "**YC**"; and YC collectively with the Company and the Founders, the "**Parties**").

BACKGROUND

- The Company and the Founders have been accepted to, and desire to participate in, YC's batch program (the "**Program**").

- Concurrently with the execution of this Agreement, the Company is issuing to YC certain simple agreements for future equity in exchange for an aggregate investment of $500,000.00 (the "**YC Safes**").

- In connection with the Company's participation in the Program and the issuance of the YC Safes, and in consideration thereof, the Parties desire to set forth additional terms, conditions and covenants as described in this Agreement.

SECTION I - PROGRAM STANDARDS

A. ***Founders***

1. Eligibility. As of the date of this Agreement, each Founder owns not less than 10% of the Fully-Diluted Outstanding Capital Stock of the Company. Such ownership is required for each Founder to participate in the Program. If at any time prior to the day after Demo Day, any Founder's ownership decreases to less than 10%, YC reserves the right to remove such Founder from the Program and to suspend his/her YC community access. For purposes of this Section I, "**Fully-Diluted Outstanding Capital Stock**" means the sum of: (a) the total number of shares of common stock of the Company then outstanding and duly issued; (b) the total number of shares of common stock of the Company into which all then outstanding shares of Preferred Stock of the Company are convertible; and (c) the number of shares of common stock of the Company reserved for exercise of any outstanding Options (as defined in Section II). Shares reserved but unallocated under any stock purchase, stock option or equity incentive plan are excluded.

2. New Co-Founders. If one or more additional founders are added to the Company during the Program (each, a "**New Co-Founder**"), such New Co-Founders may participate in the Program, provided: (a) each New Co-Founder has been interviewed and approved by the Company's YC group partners; (b) each New Co-Founder has been allocated not less than 10% of the Fully-Diluted Outstanding Capital Stock of Company; and (c) the Company provides YC with the dated and fully executed stock purchase agreement(s) (and applicable board approval(s)) evidencing each New Co-Founder's ownership.

3. Founder Departures. If any Founder or New Co-Founder departs from, or is terminated by, the Company during the Program, the remaining Founders will promptly notify YC.

B. ***Bookface Use and Access***. The Founders have been provided with access to YC's Bookface platform, the use of which is subject to compliance with the Bookface Forum Guidelines. The Forum Guidelines are viewable at: https://bookface.ycombinator.com/knowledge/forum-guidelines. Each Founder acknowledges and agrees that he/she has reviewed the Forum Guidelines and will comply with them at all times. The Founders acknowledge and agree that violation of the Forum Guidelines, or any other behavior on Bookface that YC

deems inappropriate, whether during the Program or at any time thereafter, will be grounds for removal of Bookface access and/or removal from the YC community, at YC's sole discretion.

C. ***Ethics Statement***. Each Founder acknowledges and agrees that he/she has reviewed the Founder Ethics statement, viewable on Bookface at: https://bookface.ycombinator.com/knowledge/ethics. Each Founder acknowledges and agrees that any violation of these ethics, whether during the Program or at any time thereafter, may result in removal from the Program and from the YC community, at YC's sole discretion.

D. ***Applicability to New Co-Founders***. The Founders are responsible for ensuring that New Co-Founders have reviewed the Bookface Forum Guidelines and Founder Ethics statement. The Founders acknowledge that non-compliance with either policy by a New Co-Founder may result in the Company's expulsion from the Program and removal of the Founders and New Co-Founders from the YC community, at YC's sole discretion.

E. ***YC Name and Logo Usage***. The Company and each Founder acknowledge and agree to abide by the YC Brand Use Rules, viewable on Bookface at: https://bookface.ycombinator.com/knowledge/1-y-combinator-brand-use-rules. The "Y Combinator" or "YC" name or mark may not be used in connection with a Token Launch (as defined in Section II) without the prior written consent of YC (which may be via email).

F. ***Fundamental Company Information; Representations & Warranties***. As a prerequisite to the Company's participation in the Program, the Founders have provided YC with all documents and correspondence requested by YC relating to the Company's formation, capitalization and other legal matters (the "**Fundamental Company Information**"). The Company and the Founders, jointly and severally, make the following representations and warranties regarding the Fundamental Company Information and the other matters set forth below, as of the date of this Agreement:

1. Capitalization. The Founders have provided to YC all documentation related to the issuance of securities by the Company. The capitalization table and other capitalization information provided to YC in connection with the production of the Fundamental Company Information is complete and accurate in all respects, and includes all Convertible Securities (as defined in Section II), documentation related to promises (including oral promises) to issue securities, and side letters related to such securities. The outstanding securities have been duly authorized and validly issued in compliance with applicable laws, and are fully paid and nonassessable.

2. Subsidiaries. A complete and accurate list of each of the Company's subsidiaries, if any, has been provided to YC in connection with the production of the Fundamental Company Information. Each subsidiary is duly organized, validly existing, in good standing under the laws of its jurisdiction of organization and wholly-owned by the Company.

3. Confidentiality Agreements; Intellectual Property. Each Founder and all other employees of the Company have executed a Confidential Information and Invention Assignment Agreement or similar agreement (a "**Confidentiality Agreement**") in substantially the form provided by the Company to YC in connection with the production of the Fundamental Company Information. The Company, either directly or indirectly through a wholly-owned subsidiary, owns or possesses all intellectual property that is necessary for the Company to carry on its business as now conducted and as presently proposed to be conducted. No Founder has excluded works or inventions from his or her assignment of inventions that are necessary for the Company to carry on its business as now conducted and as presently proposed to be conducted. To the knowledge of the Company, no Founder or other employee is in violation of such Confidentiality Agreement or any prior employee contract or proprietary information agreement with any other corporation or third party.

4. Sanctions and Export Controls.

(a) None of the Company or any of its subsidiaries, or any of their respective directors, officers, or employees, or, to the knowledge of the Company, any agent or other Person (as defined below) acting on behalf of the Company ("**Agent**"), is the subject or target of any economic sanctions administered or enforced from time to time by the United States (including the Office of Foreign Assets Control of the U.S. Department of the Treasury ("**OFAC**") and the U.S. Department of State), the United Nations, Canada, the European Union, the United Kingdom, and any other sanctions authority with jurisdiction over the Company ("**Sanctions**"). As used in this Agreement, "**Person**" means any individual, sole proprietorship, corporation, partnership, joint venture, limited liability partnership, limited liability company, trust, unincorporated association, institution, governmental authority or any other entity, including any decentralized autonomous organization or other similar decentralized or distributed entity.

(b) The Company and its subsidiaries are, and have been during the past five (5) years (or since formation, if later), in compliance with applicable Sanctions.

(c) The Company will, and will cause each of its subsidiaries to, take reasonable measures to ensure compliance by the Company and its subsidiaries, and their respective directors, officers, employees, and Agents, with applicable Sanctions.

(d) Neither the Company nor any subsidiary of the Company will directly or, to the knowledge of the Company, indirectly use the proceeds from the YC investment ("**Proceeds**"), or lend, contribute or otherwise make available such Proceeds to any subsidiary of the Company, joint venture partner or other Person, to fund any activities or business (i) of or with any Person that, at the time of such funding, is organized, resident, or located in any country or region subject to comprehensive Sanctions (as of October 1, 2023, Cuba, Iran, North Korea, Syria, and the Crimea, Luhansk and Donetsk regions of Ukraine); (ii) of or with any Person that, at the time of such funding, is listed on OFAC's Specially Designated Nationals and Blocked Persons List, or otherwise the subject or target of Sanctions; or (iii) in any other manner that would result in a violation of applicable Sanctions by any Person (including any party hereto).

(e) The Company and each of its subsidiaries is, and has been during the past five (5) years (or since formation, if later): (i) in compliance with applicable export control laws ("**Export Controls**"), and has obtained all licenses and other approvals, timely filed all required filings and has assigned the appropriate export classifications to all products, in each case as required under Export Controls; and (ii) in compliance with the terms of all licenses, classifications, filing requirements or other approvals of the Company and each of its subsidiaries, as required under Export Controls.

(f) There is no pending or, to the knowledge of the Company, threatened action, suit, proceeding, investigation, enforcement action, or other claim by or before any court or other governmental authority or arbitrator ("**Governmental Action**") involving the Company or any of its subsidiaries, that relates to a violation of Sanctions or Export Controls.

(g) There are no actions, conditions, or circumstances related to the Company's compliance with Export Controls or Sanctions that would reasonably be expected to give rise to any material future claims.

5. Anti-Money Laundering Laws.

(a) The Company is, and has been during the past five (5) years (or since formation, if later), in compliance with all U.S. anti-money laundering statutes (including the Money Laundering Control Act of 1986 and the Bank Secrecy Act as modified by the USA PATRIOT Act), the rules and regulations thereunder and any similar rules, regulations or guidelines, issued, administered or enforced by any applicable governmental agency authority (collectively, "**Anti-Money Laundering Laws**").

(b) There is no pending or, to the knowledge of the Company, threatened Governmental Action involving the Company or any of its subsidiaries, related to a violation of Anti-Money Laundering Laws.

(c) The Company will not, directly or indirectly, use, lend, contribute, or otherwise make available Proceeds to any subsidiary, joint venture partner, or other Person, in violation of Anti-Money Laundering Laws.

(d) There are no actions, conditions, or circumstances related to the Company's compliance with Anti-Money Laundering Laws that would reasonably be expected to give rise to any material future claims.

6. Anti-Corruption Laws.

(a) None of the Company or its subsidiaries, nor any of their respective directors, officers, employees or, to the Company's knowledge, Agents have, during the past five (5) years (or in the case of the Company and its subsidiaries, since formation, if later), directly or indirectly, (y) made, offered, promised or authorized any payment, provision or gift of any money or anything of value to or for the benefit of any "foreign official" (as such term is defined in the U.S. Foreign Corrupt Practices Act of 1977, as amended (the "**FCPA**")), foreign political party or official thereof or candidate for foreign political office for the purpose of (i) influencing any official act or decision of such official, party or candidate, (ii) inducing such official, party or candidate to use his, her or its influence to affect any act or decision of a foreign governmental authority, or (iii) securing any improper advantage, in the case of (i), (ii) and (iii) above in order to assist the Company in obtaining or retaining business for or with, or directing business to, any Person; or (z) otherwise violated the FCPA or any other applicable anti-bribery or anti-corruption law (collectively, "**Anti-Corruption Laws**").

(b) The Company, its subsidiaries, its directors, officers and employees, and to the Company's knowledge, its Agents, have not, during the past five (5) years (or in the case of the Company and its subsidiaries, since formation, if later), made or authorized any bribe, rebate, payoff, influence payment, kickback or other unlawful payment of funds or received or retained any funds in violation of any Anti-Corruption Law.

(c) The Company will, and will cause each of its subsidiaries to, take reasonable measures to ensure compliance by the Company and its subsidiaries, and their respective directors, officers, employees, and Agents, with Anti-Corruption Laws.

(d) There is no pending or, to the knowledge of the Company, threatened Governmental Action involving the Company or any of its subsidiaries, or any of their respective officers, directors, or employees, related to a violation of Anti-Corruption Laws.

(e) The Company will not, directly or knowingly indirectly, use, lend, contribute, or otherwise make available Proceeds to any subsidiary, joint venture partner, or other Person, in violation of Anti-Corruption Laws. There are no actions, conditions, or circumstances related to the Company's compliance with Anti-Corruption Laws that would reasonably be expected to give rise to any material future claims.

7. Outbound Investment Rules. The Company either is (a) not a "person of a country of concern"; or (b) not engaged in any "covered activity," as these terms are defined in 31 C.F.R. Part 850, as implemented or revised from time to time. The Company has no intention of becoming a "person of a country of concern" that engages in any "covered activity."

G. ***Company Updates***. The Company covenants and agrees to provide the following information to YC via email to updates@ycombinator.com on an ongoing basis:

1. On a monthly basis, or at a minimum a quarterly basis, a summary of key operating metrics and growth rates, cash position, burn rate and runway (e.g., daily or monthly active users (as appropriate), user retention statistics, GMV, product-specific revenue and expenditures figures, relevant user engagement levels, and any other relevant indicators of product performance).

2. If prepared by the Company for distribution to stockholders or third parties, unaudited or audited (as the case may be) financial statements (income statement, balance sheet, cashflow statement), operating budget and financial forecasts.

3. As soon as practicable following issuance of any Convertible Securities (as defined in Section II), information regarding such Convertible Securities, including, at a minimum, dollar amounts invested, "target" valuations, discounts, pro rata rights and any other substantive terms.

4. If prepared by the Company for distribution to potential investors or third parties, copies of any pitch decks and, to the extent available, customer metrics (e.g. cohort data) and historical & projected financials.

5. Any other information relating to the product/service performance and financial condition of the Company as YC or YC's Affiliates may from time to time reasonably request.

H. ***Management Rights***. Each YC Invested Entity (as defined in Section III) will be entitled to consult with and advise management of the Company on significant business issues, including management's proposed annual operating plans, and management will meet with each YC Invested Entity regularly during each year at the Company's facilities at mutually agreeable times for such consultation and advice and to review progress in achieving those plans. Each YC Invested Entity may examine the books and records of the Company and inspect its facilities and may request information at reasonable times and intervals concerning the general status of the Company's financial condition and operations, provided that access to highly confidential proprietary information and facilities need not be provided. Upon reasonable notice and at a scheduled meeting of the Board of Directors or such other time, if any, as the Board of Directors may determine in its sole discretion, each YC Invested Entity (or a representative of such YC Invested Entity) may address the Board of Directors with respect to its concerns regarding significant business issues facing the Company.

SECTION II – PARTICIPATION AND NOTICE RIGHTS

The YC rights described in this Agreement will not expire or terminate except in accordance with Section III.B, and **will remain contained within this Agreement and separate** from similar notice and participation rights held by any other stockholder of the Company or any third party. Further, the Company acknowledges and agrees that, notwithstanding any language in any Company document (including but not limited to the Company's bylaws and existing or future preferred stock financing documents) purporting to terminate, cancel, waive, amend or alter this Agreement and/or the rights specifically described in this Agreement, such language will be of no force or effect even if YC is a signatory to (or otherwise bound by) such Company documents, unless YC explicitly consents in writing to the termination, cancellation, waiver, amendment or alteration of this Agreement and/or the rights specifically described in this Agreement, and the language of such termination, cancellation, waiver, amendment or alteration refers to this Agreement and/or such rights explicitly and specifically (rather than generally by, for example, referring to conflicting or similar agreements or rights).

A. ***Financing Participation Right***. YC will have a "**Participation Right**" with respect to every applicable Financing. The Participation Right is the right to purchase or obtain up to YC's Allocation of securities issued in the Financing. **The Participation Right applies to the Safe Conversion Financing and to each Financing**

thereafter. For clarity, the Participation Right does not apply to any Convertible Securities issued prior to the Safe Conversion Financing.

1. Terms

- "**Convertible Securities**" are convertible securities, including all safes (including the YC Safes, if then outstanding), convertible promissory notes, or other securities that are convertible, exchangeable or exercisable, directly or indirectly, into shares of the Company's capital stock.

- A "**Financing**" is a bona fide transaction or series of transactions that occurs after the date of this Agreement (including a merger, acquisition, business combination, restructuring or similar transaction) with the principal purpose of raising capital, pursuant to which the Company or any of its current or future subsidiaries or parent companies offers or sells securities (including shares of capital stock, Convertible Securities or other equity securities), other than an IPO or a Direct Listing (each as defined in Section III.A).

- The "**Safe Conversion Financing**" is the first Financing following the date of this Agreement in which the YC Safes, and, if applicable, any other outstanding Convertible Securities, are converted into shares of the Company's capital stock.

- YC's "**Allocation**" is equal to the **product** obtained by multiplying (a) the Total Round Size by (b) YC's Pro Rata Share.

- The "**Total Round Size**" means the total amount of securities issued by the Company in respect of new money investment in the Company in connection with the Financing.

- YC's "**Pro Rata Share**" is the ratio of (a) YC's Shares to (b) the Denominator, each calculated as of immediately prior to the consummation of the Financing.

- "**YC's Shares**" are the aggregate number of shares of capital stock (on an as-converted and as-exercised basis, including the conversion of the YC Safes, if applicable) of the Company owned by YC and YC's Affiliates, but excluding any securities held by constituent members or partners of YC in a capacity separate from YC (e.g. personal investments).

- The "**Denominator**" is the **sum** of the following elements, without duplication or double-counting of any of such elements: (a) all shares of common stock of the Company then outstanding and duly issued; (b) all shares of common stock of the Company into which all then outstanding shares of preferred stock of the Company are convertible; (c) all shares of common stock of the Company reserved for exercise of any outstanding Options and Promised Options, on an as-converted to common stock basis; (d) all shares of capital stock reserved, available for future grant and not subject to any outstanding Options or Promised Options under any stock purchase, stock option or equity incentive plan (the "**Unissued Option Pool**"); and (e) all Convertible Securities on an as-converted basis. The Denominator **excludes** any increases to the Unissued Option Pool in connection with the Financing, except to the extent the increase is necessary to cover Promised Options that would exceed the number of available shares in the Unissued Option Pool absent such increase.

- "**Options**" includes options, restricted stock awards or purchases, restricted share units, share appreciation rights, warrants or similar securities, vested or unvested.

- "**Promised Options**" means promised but ungranted options that are the greater of those (a) promised by the Company pursuant to agreements or understandings made prior to the execution of, or in

connection with, the term sheet for a Financing (or the initial closing of a Financing, if there is no term sheet), or (b) treated as outstanding options in the calculation of the price per share of the shares issued in the Financing.

- A "**Change of Control**" is a merger or consolidation in which (a) the Company is a constituent party or (b) a subsidiary of the Company is a constituent party and the Company issues shares of its capital stock pursuant to such merger or consolidation, **other than** a merger or consolidation involving the Company or a subsidiary in which the shares of capital stock of the Company outstanding immediately prior to such merger or consolidation continue to represent, or are converted into or exchanged for equity securities that represent, immediately following such merger or consolidation, at least a majority, by voting power, of the equity securities of (i) the surviving or resulting party or (ii) if the surviving or resulting party is a wholly owned subsidiary of another party immediately following such merger or consolidation, the parent of such surviving or resulting party; *provided* that such transaction is effected for independent business reasons unrelated to extinguishing YC's rights herein. For the avoidance of doubt, the conversion of the Company into a foundation company will not constitute a Change of Control for purposes of terminating YC's right to receive the Company updates described in Section I.G, each YC Invested Entity's management rights described in Section I.H, or YC's participation and notice rights described in this Section II under the termination provisions set forth in this Agreement.

- An "**Asset Sale**" is the sale, lease, transfer, exclusive license or other disposition, in a single transaction or series of related transactions, by the Company or any subsidiary of the Company of all or substantially all the assets of the Company and its subsidiaries taken as a whole, or, if substantially all of the assets of the Company and its subsidiaries taken as a whole are held by such subsidiary or subsidiaries, the sale or disposition (whether by merger or otherwise) of one or more subsidiaries of the Company, except where such sale, lease, transfer or other disposition is to the Company or one or more wholly owned subsidiaries of the Company.

2. Mechanics. The Company will offer YC the option to purchase or obtain YC's Allocation of the securities issued by the Company in every applicable Financing, and YC or a YC Affiliate may elect to purchase or obtain all or some portion of such Allocation.

3. Procedures. If the Company's investor rights agreement (or similar document, the "**IRA**") describes pro rata notice and election procedures prescribed for other stockholders or third parties with pro rata rights, the IRA will be provided to YC and such notice and election procedures may apply to the Participation Right, but only to the extent: (a) such procedures don't eliminate or diminish the Participation Right; and (b) the Participation Right remains separate from the IRA and contained within this Agreement. The Company acknowledges and agrees that the existence of an IRA with pro rata rights does not entitle the Company or any third party to require YC to subsume the Participation Right therein.

4. Limitation on "Double-Dipping." In the event that YC or a YC Affiliate has other similar "pro rata," "participation" or "preemptive" rights that apply to a Financing ("**Other Pro Rata Rights**"), (a) the total share of Financing securities that YC and YC Affiliates are entitled to subscribe for, pursuant to the Participation Right and Other Pro Rata Rights collectively, will be calculated without double-counting the securities then owned or held by YC and YC's Affiliates, and (b) if YC directly has an Other Pro Rata Right, YC will exercise only the Participation Right in this Agreement (unless otherwise agreed to by the Company and YC in writing).

B. ***Token Launch Rights***. The written consent of YC shall be required prior to any Token Launch. In the event that the Company, Token Affiliate (as defined below), and/or Founders begin preparing for a Token Launch, they will promptly notify YC of this decision and will provide any information requested by YC related to the Token Launch. Upon YC's written request (which may be via email), the Company agrees to promptly

issue and sell to each of YC ES and YC ESP token warrants on the terms of YC's Warrant to Purchase Tokens, a form of which is attached hereto as Exhibit A (the "**YC Token Warrant**").

1. Terms

- "**Affiliate**" means, with respect to any specified Person, any other Person who, directly or indirectly, controls, is controlled by, or is under common control with such Person, including without limitation any general partner, managing member, officer, director or trustee of such Person, or any venture capital fund or registered investment company now or hereafter existing that is controlled by one or more general partners, managing members or investment advisers of, or shares the same management company or investment adviser with, such Person, where "control" is defined as directly or indirectly possessing the power to direct or cause the direction of the management and policies of the Affiliate, whether through ownership of voting securities, by contract or otherwise

- "**Excluded Tokens**" means, with respect to any Token, (a) Tokens issued or used solely for development, testing or experimental purposes, (b) Tokens that may be created and issued following a Token Launch pursuant to staking, rewards or inflationary or dilutive controls; provided, that any such Tokens (i) dilute all Tokens equally, (ii) are issued in accordance with the governance terms of the Protocol and not in the sole discretion of the Company, any Token Affiliate or any Insider, and (iii) with respect to any staking or rewards process, YC is allowed to participate in any such staking or rewards process on the same basis as other participants, and (c) non-fungible Tokens issued in arms' length transactions in the ordinary course of business; provided that no such disposition shall be to the Company, any Token Affiliate or any Insider unless YC is entitled to participate in any such disposition on the same basis as other participants.

- "**Insider**" means any current or former investors, stockholders, Founders, employees, officers, directors and advisors or other consultants of the Company or any Token Issuer (if other than the Company).

- "**Token Affiliate**" means (a) any Affiliate of the Company, (b) any subsidiary of the Company, or (c) any other Person (including any foundation formed by or with the cooperation of the Company) that (i) receives a license or assignment of any material intellectual property from the Company (including, without limitation, any trademarks owned by the Company) and uses such intellectual property to effect a sale or other issuance of Tokens (as defined below); (ii) uses intellectual property that the Company has released under any free software or open source license to effect a sale or other issuance of Tokens, and any officer or key employee of the Company is rendering (or has rendered) material services to such Person, or (if an entity) any officers or key employees of the Company owns a direct or indirect interest in such Person; or (iii) is designated or otherwise granted rights by the Company or an Affiliate to such Person to administrate, manage or operate (in lieu of the Company or such Affiliate) any Protocol.

- "**Token Launch**" means, with respect to any Token, the date such Tokens are first issued to non-Insiders (other than any Token Affiliate).

- "**Token(s)**" means any tokens, coins or other digital assets created and issued by the Company, or any Token Affiliate or Founder (if, with respect to a Founder, such asset is created either (a) within twelve-months of the public launch of the Protocol or (b) within twelve-months of such date that the Founder shall no longer be providing services to the Company) or their respective successors or assigns (collectively, "**Token Issuers**"). For the avoidance of doubt, this excludes any Excluded Tokens.

- "**Protocol**" means any blockchain-based network protocol, platform or application (including any blockchain-based network of smart contracts or smart contract participants) created, developed, operated

or managed by, or based upon, or incorporating material portions of any intellectual property developed, owned or exclusively licensed by the Company or any Token Affiliate.

C. ***Notice & Documentation***. The Company agrees to provide YC not less than ten business days' prior notice and documentation of each of the following events:

1. Fundraisings. In connection with a Financing, the Company will furnish to YC all of the applicable financing documents (including term sheet), notice and election procedures regarding exercise of the Participation Right, a pro forma capitalization table, and any other information relevant to the Financing.

2. Token Launch. In connection with a Token Launch, the Company will furnish to YC all of the applicable Token Launch documents, a pro forma token distribution table, and any other information relevant to the Token Launch.

3. Change of Control / Asset Sale. If a Change of Control transaction or Asset Sale is occurring, in either case whether the YC Safes are outstanding or have converted into shares of the Company's capital stock, the Company agrees to provide YC with drafts of all applicable transaction documents, including but not limited to: (a) the aggregate transaction consideration; (b) YC's portion of the transaction consideration, with any holdback or escrowed portion separated out and (c) any agreements purporting to impose indemnification obligations on Company securityholders.

SECTION III – GENERAL PROVISIONS

A. ***Certain Terms***. (1) For all purposes under this Agreement, other than Section I.A, Section I.F(4), Section I.F(5) and Section I.F(6), the term "**Company**" will include any current and future subsidiaries and parent companies, as well as any successor to the Company's business and/or assets which executes and delivers an assumption agreement or which becomes bound by the terms of this Agreement by operation of law. (2) "**YC Affiliates**" include: (a) any individual or entity that controls, is controlled by or is under common control with YC, including, without limitation, any affiliated corporation, limited liability company, or general partner; (b) any entity that receives any services from Y Combinator Management, LLC or subsidiary thereof; (c) any investment fund or similar vehicle in respect of which any of the foregoing plays a material management role; (d) any other entity in any manner affiliated or associated with any of the foregoing which entity uses the "Y Combinator," "YC," "YC Fund" or "Y Combinator Continuity" trademark or tradename; (e) any other entity generally considered a constituent part of the collection of entities commonly referred to as "Y Combinator;" and (f) any predecessor or successor entities to any of the foregoing. (3) A "**YC Invested Entity**" means YC ES, YC ESP, and all other YC Affiliates who hold or acquire securities of the Company, whether now or in the future. (4) An "**IPO**" is the Company's first firm commitment underwritten initial public offering of its common stock pursuant to a registration statement under the Securities Act of 1933, as amended (other than a registration statement relating either to the sale of securities to employees of the Company pursuant to its stock option, stock purchase, or similar plan or a SEC Rule 145 transaction). (5) A "**Direct Listing**" is the Company's initial listing of its common stock (other than shares of common stock not eligible for resale under Rule 144 under the Securities Act of 1933, as amended) on a national securities exchange by means of an effective registration statement on Form S-1 filed by the Company with the SEC that registers shares of existing capital stock of the Company for resale, as approved by the Company's Board of Directors; provided that, for the avoidance of doubt, a Direct Listing will not be deemed to be an underwritten offering and will not involve any underwriting services.

B. ***Amendment; Termination***. Any provision of Section I.G, Section I.H, Section II or this Section III may be amended or waived in a writing signed by both the Company and YC (the Founders are not required to

sign for such an amendment or waiver to be valid). Each YC Affiliate that acquires Company securities in the future will automatically become a party to this Agreement as a YC Invested Entity, solely with respect to Section I.H and this Section III, at the time such Company securities are acquired. YC's rights described in Section I.G, Section I.H (including with respect to each YC Invested Entity) and Section II (and the Company's obligations with respect to such rights) will automatically terminate upon the earlier to occur of (1) an IPO, (2) a Direct Listing, or (3) a Change of Control transaction; *provided* that (a) the proceeds of such Change of Control consist of cash and/or publicly-traded stock; and (b) the Company remains obligated to provide the information and documents described in Section II.C with respect to such Change of Control transaction.

C. ***YC Covenant***. YC agrees to keep confidential and not disclose or divulge any confidential information obtained from the Company pursuant to the terms of this Agreement, unless such confidential information (1) is known or becomes known to the public in general, (2) is or has been independently developed or conceived by YC without use of the Company's confidential information, or (3) is or has been made known or disclosed to YC by a third party without a breach of any obligation of confidentiality such third party may have to the Company; *provided, however*, that YC may disclose confidential information (a) to its attorneys, accountants, consultants, and other professionals to the extent necessary to obtain their services; (b) to any YC Affiliate, *provided* that YC will direct the YC Affiliate to maintain the confidentiality of such information; or (c) as may otherwise be required by law, *provided* that YC promptly notifies the Company of such disclosure and takes reasonable steps to minimize the extent of any such required disclosure.

D. ***General Notices***. Any notice, consent, approval, request or other communication required or permitted to be given by any Party pursuant to the terms of this Agreement must be in writing. Notices may be sent by electronic mail (and/or, by U.S. mail (First Class)).

E. ***Choice of Law; Forum Selection***. This Agreement will be governed by and construed in accordance with the laws of the State of California, without giving effect to its conflict of laws provisions. Any claims, legal proceeding or litigation arising in connection with this Agreement will be brought solely in Santa Clara County, California, and all Parties consent to the jurisdiction of such courts.

F. ***No Impairment***. The Company will not, and will cause its subsidiaries (if any, and together with the Company, the "**Company Group**") to not, by amendment of any of the governing or constitutional documents of any members of the Company Group or through any reorganization, recapitalization, transfer of assets, consolidation, merger, dissolution, issue or sale of securities or any other voluntary action of or involving one or more members of the Company Group, avoid or seek to avoid the observance or performance of any of the terms to be observed or performed hereunder by any member of the Company Group, but will at all times in good faith assist in the carrying out of all the provisions of this Agreement and in the taking of all such actions as may be necessary or appropriate in order to protect YC's rights in this Agreement against impairment.

G. ***Integration***. This Agreement and the YC Safes together represent the entire agreement among the Parties with respect to the participation by the Company in the Program (supplemented by the Bookface Forum Guidelines, the Founder Ethics statement, the Y Combinator Name and Logo Use Rules, and the YC Token Warrant (as applicable), as each may be revised from time to time) and the purchase of the YC Safes, and they supersede and replace any and all prior written or oral agreements regarding the subject matter of this Agreement and the YC Safes. The Parties agree and acknowledge that any integration clauses or other provisions that exist in any definitive agreements for future Financings ("**Future Financing Documents**") will not be construed as amending, modifying, terminating, canceling, waiving or altering any of the agreements, understandings, terms or provisions in this Agreement, unless one or more of such Future Financing Documents (1) expressly and specifically state that this Agreement is being so amended, modified, terminated, canceled, waived or altered, and (2) such Future Financing Documents are signed by YC.

H. ***Effect of Reorganization, Consolidation, or Merger; Successors***. If the Company engages in a Restructuring Event, any resulting entity or entities will remain subject to the Company's obligations in Section I.G, Section I.H and Section II in the same manner as the Company. As used herein, "**Restructuring Event**" means any Company restructuring effected pursuant to, or by means of, a merger, consolidation, acquisition of another entity, reorganization, recapitalization, conversion of the Company into a foundation company, or similar transaction. Further, unless a Change of Control has caused YC's rights in Section I.G, Section I.H and Section II to terminate in accordance with Section III.B above, any successor to the Company (whether direct or indirect and whether by purchase, merger, consolidation, liquidation or otherwise) will assume the obligations under this Agreement and agree expressly to perform the obligations under this Agreement in the same manner and to the same extent as the Company would be required to perform such obligations in the absence of a succession.

I. ***Waiver***. Any Party's failure to enforce any provision of this Agreement will not in any way be construed as a waiver of any such provision, nor prevent that Party from thereafter enforcing any other provision of this Agreement. The rights granted the Parties hereunder are cumulative and will not constitute a waiver of any Party's right to assert any other legal remedy available to it.

J. ***Severability***. Should any provision of this Agreement be found to be illegal or unenforceable, the other provisions will nevertheless remain effective and enforceable to the greatest extent permitted by law.

K. ***Counterparts***. This Agreement may be executed in one or more counterparts, each of which will be deemed an original, but all of which together will constitute one and the same agreement. Facsimile copies of signed signature pages will be binding originals.

L. ***Independent Review***. The Parties acknowledge that, regardless of which party had primary responsibility for the drafting of this Agreement, each Party had the opportunity to review this Agreement in its entirety prior to signing and, if such party so chose, to consult with independent legal counsel. Therefore, each Party hereby waives the application of any law, rule or regulation, or rule of construction, providing that ambiguities in an agreement or other document will be construed against the drafter.

[Signature Page Follows]

IN WITNESS WHEREOF, the parties hereto have executed this Y Combinator Agreement as of the date first above written.

COMPANY:

CLAYBIRD INC.

By: Abdullah Nauman

Abdullah Nauman
President and CEO

1223 York Street
San Francisco, California 94110
United States

abdullahbnauman@gmail.com

IN WITNESS WHEREOF, the parties hereto have executed this Y Combinator Agreement as of the date first above written.

YC:

Y COMBINATOR ES24, LLC

By: _____

Authorized Signatory

335 Pioneer Way
Mountain View, CA 94041

financings@ycombinator.com

YC ESP24, L.P.

By: _____

Authorized Signatory

335 Pioneer Way
Mountain View, CA 94041

financings@ycombinator.com

IN WITNESS WHEREOF, the parties hereto have executed this Y Combinator Agreement as of the date first above written.

FOUNDER(S):

ABDULLAH NAUMAN

Abdullah Nauman

SAAD JAMAL

<u>Exhibit A</u>

Form of YC Token Warrant

IMPORTANT NOTICE: THIS YC WARRANT TO PURCHASE TOKENS IS ONLY APPLICABLE TO COMPANIES THAT LAUNCH TOKENS. THIS FORM IS SPECIFICALLY TAILORED FOR YC'S USE AND IS NOT INTENDED FOR GENERAL USE WITH OTHER INVESTORS.

THIS WARRANT HAS NOT BEEN REGISTERED WITH THE SECURITIES AND EXCHANGE COMMISSION OR THE SECURITIES COMMISSION OF ANY STATE IN RELIANCE UPON AN EXEMPTION FROM REGISTRATION UNDER THE SECURITIES ACT OF 1933, AS AMENDED (THE "**SECURITIES ACT**"), AND STATE SECURITIES LAWS AND, ACCORDINGLY, MAY NOT BE OFFERED OR SOLD WITHIN THE UNITED STATES (AS SUCH TERM IS DEFINED IN REGULATION S UNDER THE SECURITIES ACT) EXCEPT PURSUANT TO AN EFFECTIVE REGISTRATION STATEMENT OR PURSUANT TO A QUALIFIED OFFERING STATEMENT PURSUANT TO REGULATION A OF THE SECURITIES ACT UNDER THE SECURITIES ACT OR PURSUANT TO AN AVAILABLE EXEMPTION FROM, OR IN A TRANSACTION NOT SUBJECT TO, THE REGISTRATION REQUIREMENTS OF THE SECURITIES ACT AND IN ACCORDANCE WITH APPLICABLE STATE SECURITIES LAWS AS EVIDENCED BY A LEGAL OPINION OF COUNSEL TO THE TRANSFEROR TO SUCH EFFECT, THE FORM AND SUBSTANCE OF WHICH SHALL BE ACCEPTABLE TO THE COMPANY.

[[COMPANY NAME]]

WARRANT TO PURCHASE TOKENS

Issue Date: [[Date]]
Purchase Price: $62
Warrant Exercise Price: As set forth in Section 1
Expiration Date: As set forth in Section 1

THIS CERTIFIES THAT in consideration of the sum set forth above (the "**Purchase Price**") and paid on the date hereof to [[Company Name]], a [[State of Incorporation]] corporation (the "**Company**"), receipt of which is hereby acknowledged, [[$125k Investor (Early Stage) Name]] or its permitted assignee ("**Holder**") is entitled, subject to the terms and conditions of this Warrant, to purchase at the applicable Warrant Exercise Price (as defined below), at any time prior to the Expiration Date (as defined below), up to the Holder's Portion of Tokens (as defined below), upon delivery to the Company of a duly executed exercise notice in the form attached hereto as Exhibit 1 (the "**Exercise Notice**") and simultaneous payment of an amount equal to the Warrant Exercise Price, if applicable.

1. ***Definitions.*** The following definitions shall apply for purposes of this Warrant:

"**Affiliate**" means, with respect to any specified Person, any other Person who, directly or indirectly, controls, is controlled by, or is under common control with such Person, including without limitation any general partner, managing member, officer, director or trustee of such Person, or any venture capital fund or registered investment company now or hereafter existing that is controlled by one or more general partners, managing members or investment advisers of, or shares the same management company or investment adviser with, such Person, where "control" is defined as directly or indirectly possessing the power to direct or cause the direction of the management and policies of the Affiliate, whether through ownership of voting securities, by contract or otherwise. With respect to Holder, an Affiliate will include, without limitation, (i) any affiliated corporation, limited liability company, or general partner; (ii) any entity that receives any services from Y Combinator Management, LLC or subsidiary thereof; (iii) any investment fund or similar vehicle in respect of which any of the foregoing plays a material management role; (iv) any other entity in any manner affiliated

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or associated with any of the foregoing which entity uses the "Y Combinator," "YC" or "YC Fund" or "Y Combinator Continuity" trademark or tradename; (v) any other entity generally considered a constituent part of the collection of entities commonly referred to as "Y Combinator;" and (vi) any predecessor or successor entities to any of the foregoing.

"**Business Day**" means a weekday on which banks are open for general banking business in San Francisco, California.

"**Company**" shall include, in addition to the Company identified in the opening paragraph of this Warrant, any corporation or other entity that succeeds to the Company's obligations under this Warrant, whether by permitted assignment, by merger or consolidation or otherwise.

"**Change of Control**" means (i) a transaction or series of related transactions in which any "person" or "group" (within the meaning of Section 13(d) and 14(d) of the Securities Exchange Act of 1934, as amended), becomes the "beneficial owner" (as defined in Rule 13d-3 under the Securities Exchange Act of 1934, as amended), directly or indirectly, of more than 50% of the outstanding voting securities of the Company having the right to vote for the election of members of the Company's board of directors, (ii) any reorganization, merger or consolidation of the Company, other than a transaction or series of related transactions in which the holders of the voting securities of the Company outstanding immediately prior to such transaction or series of related transactions retain, immediately after such transaction or series of related transactions, at least a majority of the total voting power represented by the outstanding voting securities of the Company or such other surviving or resulting entity or (iii) a sale, lease or other disposition of all or substantially all of the assets of the Company.

"**Excluded Tokens**" means, with respect to any Token, (i) Tokens issued or used solely for development, testing or experimental purposes, (ii) Tokens that may be created and issued following a Token Launch pursuant to staking, rewards or inflationary or dilutive controls; *provided*, that any such Tokens (a) dilute all Tokens equally, (b) are issued in accordance with the governance terms of the Protocol and not in the sole discretion of the Company, any Token Affiliate or any Insider, and (c) with respect to any staking or rewards process, Holder is allowed to participate in any such staking or rewards process on the same basis as other participants (any such Tokens, "**Autonomously Generated Tokens**"), and (iii) non-fungible Tokens issued in arms' length transactions in the ordinary course of business; provided that no such disposition shall be to the Company, any Token Affiliate or any Insider unless Holder is entitled to participate in any such disposition on the same basis as other participants.

"**Expiration Date**" means the earlier of (i) 5:00 p.m. Pacific Time on the date that is 10 years following the Issue Date, (ii) with respect to any specific Token, 60 days following the receipt by Holder of notice of any initial Token Structuring Event or (iii) the date the Company and other Token Issuers irrevocably and affirmatively decide not to develop any Token and notify the Holder of the same.

"**Founder**" means [[Founder Name]].

"**Insider**" means any current or former investors, stockholders, Founders, employees, officers, directors and advisors or other consultants of the Company or any Token Issuer (if other than the Company).

"**Parent**" shall mean any entity (other than the Company) in an unbroken chain of entities ending with the Company, if each of the entities other than the Company owns securities possessing 50.1% or more of the total combined voting power of all classes of securities in one of the other entities in such chain.

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"**Person**" means any individual, corporation, partnership, trust, limited liability company, association or other entity, including any decentralized autonomous organization or other similar decentralized or distributed entity.

"**Portion**" means, with respect to Holder and any Token, such amount of Tokens as shall equal (without double counting) 35% of such Holder's Pro Rata Portion of the Total Network Tokens. The "**Pro Rata Portion**", means, with respect to Holder, the ratio (i) that the number of shares of Common Stock of the Company, including any shares of Common Stock issued to the original Holder or issuable to the original Holder upon conversion of shares of Preferred Stock or other outstanding securities of the Company (treating any Simple Agreements for Future Equity ("**Safes**") as having converted at the valuation cap or implied valuation cap, as applicable) bears to (ii) the total number of outstanding shares of Common Stock of the Company after giving effect to the conversion or exercise of all outstanding securities into shares of Common Stock of the Company (treating any Safes as having converted at the valuation cap or implied valuation cap, as applicable, with any Safes without a valuation cap or implied valuation cap excluded from such number), in each case, as of the initial Token Structuring Event of such Token.

"**Pre-Launch Valuation**" means the fair market value per Token as determined by an independent valuation consultant contemporaneously with or following the Issue Date and delivered to the Company in connection with any initial Token Structuring Event.

"**Protocol**" means any blockchain-based network protocol, platform or application (including any blockchain-based network of smart contracts or smart contract participants) created, developed, operated or managed by, or based upon, or incorporating material portions of any intellectual property developed, owned or exclusively licensed by the Company or any Token Affiliate.

"**Subsidiary**" shall mean any entity (other than the Company) in an unbroken chain of entities beginning with the Company, if each of the entities other than the last entity in the unbroken chain owns securities possessing 50.1% or more of the total combined voting power of all classes of securities in one of the other entities in such chain.

"**Token Affiliate**" means (i) any Affiliate of the Company, (ii) any Subsidiary or Parent of the Company, or (iii) any other Person (including any foundation formed by or with the cooperation of the Company) that (a) receives a license or assignment of any material intellectual property from the Company (including, without limitation, any trademarks owned by the Company) and uses such intellectual property to effect a sale or other issuance of Tokens (as such term is defined below); (b) uses intellectual property that the Company has released under any free software or open source license to effect a sale or other issuance of Tokens, and any officer or key employee of the Company is rendering (or has rendered) material services to such Person, or (if an entity) any officers or key employees of the Company owns a direct or indirect interest in such Person; or (c) is designated or otherwise granted rights by the Company or an Affiliate to such Person to administrate, manage or operate (in lieu of the Company or such Affiliate) any Protocol.

"**Token Launch**" means, with respect to any Token, the date such Tokens are first issued to non-Insiders (other than any Token Affiliate).

"**Token(s)**" means any tokens, coins or other digital assets created and issued by the Company, or any Token Affiliate or Founder (if, with respect to a Founder, such asset is created either (i) within twelve-months of the public launch of the Protocol or (ii) within twelve-months of such date that the Founder shall no longer be providing services to the Company) or their respective successors or assigns (collectively, "**Token Issuers**"). For the avoidance of doubt, this excludes any Excluded Tokens.

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"**Total Network Tokens**" means, with respect to any Token, the total number of Tokens ever to be minted, generated or created over the lifetime of the applicable Protocol (including Tokens issuable on conversion of this Warrant).

"**Token Structuring Event**" means, with respect to any Token, the date such Tokens are minted, generated or created, if ever, and available for issuance, including any Token Launch.

"**Transfer**" means sell, loan, collateralize, sponsor, distribute, issue or otherwise dispose of or encumber.

"**Warrant**" means this Warrant and any warrant(s) delivered in substitution or exchange therefor, as provided herein.

"**Warrant Exercise Price**" means, with respect to any Token, (i) with respect to the initial exercise, the lesser of (a) $125 (in the aggregate, to purchase that number of Tokens for which Holder initially exercises this Warrant), and (b) the Pre-Launch Valuation per Token multiplied by that number of Tokens for which Holder initially exercises this Warrant, and (ii) with respect to each subsequent exercise, the lesser of (a) $62 (in the aggregate, to purchase that number of Tokens for which Holder exercises this Warrant) and (b) the Pre-Launch Valuation per Token multiplied by that number of Tokens for which Holder exercises this Warrant.

2. ***Exercise***

(a) **Method of Exercise.** Subject to the terms and conditions of this Warrant, Holder may exercise this Warrant with respect to any Token, from time to time, on any Business Day on or after the initial Token Structuring Event for such Token and before the Expiration Date, for up to Holder's Portion of Tokens; provided, that, if the Holder's Portion is increased pursuant to Section 3(d) following any Expiration Date (a "***Post-Expiration Increase***"), this Warrant may nevertheless be exercised with respect to such Post-Expiration Increase from time to time, on any Business Day on or prior to 5:00 p.m. Pacific Time on the date that is 10 years following the Issue Date. Subject to the immediately preceding sentence, this Warrant may be exercised any number of times by Holder to provide Holder the opportunity to purchase up to Holder's Portion of Tokens following each instance that new Tokens are minted, generated or created following the initial Token Structuring Event for such Token, and may be separately exercised with respect to each separate Token. This Warrant shall be exercised by submitting a copy of the Exercise Notice, duly executed by Holder, and by payment in a form specified in Section 2(b) hereof of an amount equal to the Warrant Exercise Price, if applicable.

(b) **Form of Payment.** Payment for Holder's Portion of the Tokens upon each exercise may be made by (i) a check payable to the Company's order, (ii) wire transfer of funds to the Company, (iii) cancellation of indebtedness of the Company to Holder, (iv) by net exercise as provided in Section 2(e) hereof, (v) transfer of U.S. dollar stablecoins acceptable to the Company or (vi) any combination of the foregoing.

(c) **Delivery of Tokens.** In connection with each exercise pursuant to this Section 2, the Holder will provide the Company an Exercise Notice specifying a network address to allocate Holder's Tokens to upon such exercise (or otherwise upon the applicable date of delivery, as described herein), and the Company shall deliver, or cause to be delivered, such Tokens to such network address. Holder may update such network address by providing written notice in accordance with Section 8(e); provided, that the Company need not consider such updated network address to be valid until the Company has confirmed receipt of such notice.

(d) **Restrictions on Exercise.** This Warrant may not be exercised if the issuance of the Tokens upon such exercise would constitute a violation of any applicable federal or state laws or other

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regulations, as determined by the board of directors of the Company upon the advice of counsel. As a condition to each exercise of this Warrant, Holder shall execute a copy of the Exercise Notice, confirming and acknowledging that the representations and warranties set forth in Section 7 as they apply to Holder are true and complete as of the date of exercise. In the event that external legal counsel to the Company advises the Company that it is necessary or advisable for regulatory reasons, Holder shall also be required to deliver, as a condition to exercise, an accredited investor verification letter from a qualified third-party verifying that Holder is an "accredited investor" within the meaning of Rule 501 of the Securities Act. The Holder acknowledges that the Company is not obligated, and the Company has not made any determination, to generate Tokens.

(e) **Net Exercise Election.**

(i) Upon each exercise of this Warrant and subject to the Transfer Restrictions, Holder may elect to make such exercise without the payment by Holder of any additional consideration, by submitting a copy of the Exercise Notice with the net exercise election selected, duly executed by Holder, for the number of Tokens that is obtained under the following formula:

$$\mathbf{X = Y - (A \div B)}$$

where X = the number of Tokens to be issued to Holder pursuant to a net exercise of this Warrant effected pursuant to this Section 2(e).

Y = the number of Tokens equal to Holder's Portion.

A = the Warrant Exercise Price.

B = the fair market value of one Token, determined at the time of such net exercise as set forth in the last paragraph of this Section 2(e).

(ii) The Company will promptly respond in writing to an inquiry by Holder as to the then current fair market value of one Token. For purposes of the calculation in Section 2(e)(i) the fair market value of one Token shall be determined by the Company's or Parent's board of directors in good faith.

(f) **Notice of Expiration, Token Structuring Events and Token Launch.** The Company shall provide Holder with (i) at least sixty (60) days' notice prior to any Expiration Date, (ii) at least fifteen (15) days' notice prior to a consummation of any Token Structuring Event by a Token Issuer and (iii) at least fifteen (15) days' notice price to a consummation of any Token Launch, which notice shall include (a) in each case, a description of the number of Tokens that have been issued by a Token Issuer during the term of the Warrant and the Holder's Portion (including the calculation of such Portion) and (b) in the case of clause (ii), a description of the Protocol and the Tokens to be issued in such Token Structuring Event.

3. ***Issuance of Tokens***

(a) **Date of Issuance.** This Warrant shall be deemed to have been exercised immediately prior to the close of business on the date that it is exercised pursuant to the terms of Section 2 above, and the Person entitled to receive the Tokens issuable upon such exercise shall be treated for all purposes as the holder of record of such Tokens as of the close of business on such date. As soon as practicable on or after such date, and in any event within two (2) days following such date of exercise, the Company shall issue and deliver, or cause to be issued and delivered, to the network address specific on the Exercise Notice that the Holder delivers to the Company the Tokens issuable upon such exercise.

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(b) **Restrictions on Tokens.** The Tokens issued upon each exercise of this Warrant may be subject to such restrictions on Transfer as required by applicable law, as determined by the board of directors of the Company in good faith and on the advice of external legal counsel and certain additional restrictions on Transfer as may be reasonably requested by the Company (the "**Transfer Restrictions**"); *provided*, that no such Transfer Restrictions shall apply to Holder unless all Tokens that are issued (directly or indirectly) to Insiders are subject to restrictions on Transfer at least an onerous as those applicable to Holder. In addition, any such Transfer Restrictions shall provide that any discretionary waiver or termination of such restrictions that are approved by the board of directors of the Company or any Token Issuer with respect to any Insider shall apply to Holder, pro rata, based on the number of Tokens held by such parties. Notwithstanding anything herein to the contrary, during any period any Tokens issued pursuant to this Warrant are subject to Transfer Restrictions, Holder may (i) Transfer any Tokens to any Affiliate and (ii) exercise the voting and other governance rights linked to such Tokens or deploy them towards staking in accordance with the governance and other rules of the Protocol. The Company shall have and retain any and all risk of loss of the Tokens arising from programmatic transfer restrictions imposed on the Tokens by or on behalf of any Token Issuer, notwithstanding Holder's or Holder's designated custodian's obtaining custody and possession of the Tokens.

(c) **Reservation of Tokens.** The Company shall reserve, or cause to be reserved, for the benefit of the Holder, and not distribute, sell or encumber, or cause to be not distributed, sold or encumbered, the maximum number of Tokens issuable under this Warrant until this Warrant is fully exercised.

(d) **Token Allocation and Distribution.** In the event that the Total Network Tokens for any Token is increased at any time following the initial Token Structuring Event for such Token, then Holder's Portion with respect to such Token shall be recalculated to take into account such increase.

4. ***Additional Covenants***

(a) **Token Custodians.** Promptly following distribution of any Tokens to the Holder, the Company will use reasonable best efforts to partner with a third-party custodian (including widely available high quality custody solutions such as Anchorage, Coinbase or other Qualified Custodian under SEC rules) so that such custodian will accept and support such Tokens with secure wallet and storage services promptly following such distribution.

(b) **Sybil Attacks & Airdrop Farming**. Holder and the Company will use reasonable efforts to prohibit their respective employees, contractors, Affiliates and the employees and contractors of Holder's respective Affiliates from creating multiple accounts primarily for the purpose of participating in any retroactive airdrop of Tokens.

5. ***Effect of Reorganization, Consolidation or Merger***

(a) (i) In case of any recapitalization or reorganization of the Company (including the conversion of the Company into a foundation company) or (ii) in case the Company shall consolidate with or merge into one or more other corporations or entities, in each case that is not a Change of Control (each, a "**Reorganization Event**"), if after such Reorganization Event, this Warrant is exercisable for Tokens of a corporation or entity other than the Company, then such corporation or entity shall duly execute and deliver to Holder a supplement hereto acknowledging such corporation's or other entity's obligations under this Warrant; and in each such case, the terms of this Warrant shall be applicable to Tokens receivable upon the exercise of this Warrant after the consummation of such Reorganization Event. The Company shall promptly give Holder at least ten (10) days' prior written notice of each Reorganization Event.

TOKEN ISSUERS ONLY

(b) In the event that a Token Issuer completes a Token Structuring Event while this Warrant is outstanding, then this Warrant shall become exercisable for Holder's Portion of such Tokens. The Company covenants and agrees that to the extent that such Token Structuring Event is consummated by any party other than the Company, the Company will, as a condition to any participation in, cooperation with, or transfer or license of rights with respect to, such Token Structuring Event, ensure that the Token Issuer accepts, in writing for the benefit of Holder, the obligation to issue the applicable Tokens to Holder upon exercise of this Warrant in accordance with the terms hereof.

6. ***Representations and Warranties of Company*****.** The Company hereby represents and warrants to Holder as of the Issue Date:

(a) **Organization, Good Standing, Corporate Power and Qualification.** The Company is a corporation duly organized, validly existing and in good standing under the laws of its state of incorporation and has all requisite corporate power and authority to carry on its business as now conducted and as presently proposed to be conducted. The Company is duly qualified to transact business and is in good standing in each jurisdiction in which the failure to so qualify would have a material adverse effect.

(b) **Authorization.** All corporate action required to be taken by the board of directors of the Company and the Company's shareholders in order to authorize the Company to enter into this Warrant, and to issue any other similar warrants to purchase tokens from the Company, has been taken or will be taken prior to the Issue Date. All action on the part of the officers of the Company necessary for the execution and delivery of this Warrant, the performance of all obligations of the Company under this Warrant to be performed as of the Issue Date, and the issuance and delivery of this Warrant has been taken or will be taken prior to the Issue Date. This Warrant, when executed and delivered by the Company, shall constitute valid and legally binding obligations of the Company, enforceable against the Company in accordance with their respective terms except (i) as limited by applicable bankruptcy, insolvency, reorganization, moratorium, fraudulent conveyance, or other laws of general application relating to or affecting the enforcement of creditors' rights generally, or (ii) as limited by laws relating to the availability of specific performance, injunctive relief, or other equitable remedies.

(c) **Governmental Consents and Filings.** Assuming the accuracy of the representations made by the Holder in Section 7 of this Warrant, no consent, approval, order or authorization of, or registration, qualification, designation, declaration or filing with, any federal, state or local governmental authority is required on the part of the Company in connection with the issuance of the Warrants, except for filings pursuant to Regulation D of the Securities Act, and applicable state securities laws, which have been made or will be made in a timely manner.

(d) **Marketable Title.** Upon delivery of the Tokens upon exercise of the Warrant, Token Issuer shall deliver, and Holder shall have, good and marketable title to the Tokens, free and clear of all liens, claims, charges and encumbrances of any kind whatsoever. The Tokens issuable hereunder will be, upon exercise of the Warrant, fully vested and are not subject to any restrictions on transfer that may otherwise bind the Holder, except as set forth in Section 3(b).

7. ***Representations and Warranties of Holder*****.** In order to induce the Company to issue this Warrant to the original Holder, the original Holder has made representations and warranties to the Company as set forth on Schedule 1.

8. ***General Provisions***

(a) **Attorneys' Fees.** In the event any party is required to engage the services of any attorneys for the purpose of enforcing this Warrant, or any provision thereof, the prevailing party shall be

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entitled to recover its reasonable expenses and costs in enforcing this Warrant, including attorneys' fees.

(b) **Transfer.** Except as expressly provided hereunder, neither this Warrant nor any rights hereunder may be assigned, conveyed or Transferred by Holder, in whole or in part, without the Company's prior written consent; provided, that, notwithstanding the foregoing, Holder may assign convey or transfer this Warrant and/or any rights hereunder to (i) an Affiliate, partner, member, limited partner, retired or former partner, retired or former member, or stockholder of the Holder or (ii) subject to the Company's prior written consent, which shall not be unreasonably withheld, any other Person; provided further, and, as a condition precedent to the Company's recognition of such transfer, each transferee or assignee shall agree in writing to be subject to each of the terms of the Warrant and make the representations and warranties to the Company as set forth on Schedule 1. The rights and obligations of the Company and the Holder under this Warrant shall be binding upon and benefit their respective permitted successors, assigns, heirs, administrators and transferees.

(c) **Governing Law.** All rights and obligations hereunder will be governed by the laws of the State of California, without regard to the conflicts of law provisions of such jurisdiction.

(d) **Headings.** The headings and captions used in this Warrant are used only for convenience and are not to be considered in construing or interpreting this Warrant. All references in this Warrant to Sections and Exhibits shall, unless otherwise provided, refer to sections hereof and exhibits attached hereto, all of which exhibits are incorporated herein by this reference.

(e) **Notices.** Unless otherwise provided herein, any notice required or permitted by this Warrant will be deemed sufficient when delivered personally or by overnight courier or sent by email to the relevant address listed on the signature page, or 48 hours after being deposited in the U.S. mail as certified or registered mail with postage prepaid, addressed to the party to be notified at such party's address listed on the signature page, as subsequently modified by written notice.

(f) **Amendment; Waiver.** This Warrant may be amended and provisions may be waived (either generally or in a particular instance and either retroactively or prospectively), only with the written consent of each of (i) the Company and (ii) the Holder.

(g) **Severability.** In the event any one or more of the provisions of this Warrant is for any reason held to be invalid, illegal or unenforceable, in whole or in part or in any respect, or in the event that any one or more of the provisions of this Warrant operate or would prospectively operate to invalidate this Warrant, then and in any such event, such provision(s) only will be deemed null and void and will not affect any other provision of this Warrant and the remaining provisions of this Warrant will remain operative and in full force and effect and will not be affected, prejudiced, or disturbed thereby.

(h) **Entire Agreement.** This Warrant, that certain Y Combinator Agreement by and between the Company, Founders and the Holder, and the documents referred to herein and therein and all attachments hereto and thereto, together with all the exhibits and schedules hereto and thereto, constitute the entire agreement and understanding of the parties with respect to Holder's Token rights and supersede any and all prior negotiations, correspondence, warrants, agreements, understandings duties or obligations between the parties with respect to the subject matter hereof.

(i) **Further Assurances.** At any time or from time to time after the date hereof, the Company shall cooperate with the Holder, and at the request of the Holder, shall execute and deliver any further instruments or documents and to take all such further actions as the Holder may reasonably request in order to carry out the intent of this Warrant.

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(j) **No Impairment.** Except and to the extent waived or consented to by the Holder, or as otherwise permitted under the terms hereof, neither the Company nor any Token Issuer will, by amendment of its corporate documents or through any reorganization, transfer of assets, consolidation, merger, dissolution, issue or sale of securities or any other voluntary action, avoid or seek to avoid the observance or performance of any of the terms to be observed or performed hereunder by the Company or such Token Issuer, but will at all times in good faith assist in the carrying out of all the provisions of this Warrant and in the taking of all such action as may be necessary or appropriate in order to protect the rights of the Holder hereunder against impairment.

(k) **Reporting Matters.** The parties hereto intend, and the Company will treat, this Warrant as an option for applicable tax purposes through and including the initial exercise of this Warrant; provided that the foregoing would not apply should the applicable tax laws change in the future in a way that, in the opinion of counsel, would cause the Company's compliance with the foregoing to violate such tax laws.

(l) **Counterparts.** This Warrant may be executed in one or more counterparts, each of which will be deemed an original, but all of which together will constitute one and the same agreement. Facsimile copies of signed signature pages will be binding originals.

(m) **Independent Review.** The parties acknowledge that, regardless of which party had primary responsibility for the drafting of this Warrant, each party had the opportunity to review this Warrant in its entirety prior to signing and, if such party so chose, to consult with independent legal counsel. Therefore, each party hereby waives the application of any law, rule or regulation, or rule of construction, providing that ambiguities in an agreement or other document will be construed against the drafter.

(Signature page follows)

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IN WITNESS WHEREOF, the parties hereto have executed this Warrant to Purchase Tokens as of the date first written above.

COMPANY

[[Company Signature Block]]

TOKEN ISSUERS ONLY

IN WITNESS WHEREOF, the parties hereto have executed this Warrant to Purchase Tokens as of the date first written above.

HOLDER

[[$125k Investor (Early Stage) Signature Block]]

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EXHIBIT 1

EXERCISE NOTICE

(To be completed and signed only upon each exercise of the Warrant)

To: _____ (the "***Company***")

We refer to that certain Warrant to Purchase Tokens of the Company issued on _____ (the "***Warrant***"). All terms used but not defined herein have the meanings given to them in the Warrant.

Select one of the following two alternatives:

❒ **Cash Exercise.** On the terms and conditions set forth in the Warrant, the undersigned Holder hereby elects to purchase its Portion of the Tokens (the "***Warrant Tokens***"), pursuant to the terms of the attached Warrant, and tenders herewith payment of the Warrant Exercise Price in full.

❒ **Net Exercise Election.** On the terms and conditions set forth in the Warrant, the undersigned Holder elects to convert the Warrant into Tokens by net exercise election pursuant to Section 2(e) of the Warrant.

In exercising the Warrant, the undersigned Holder hereby confirms and acknowledges that the representations and warranties set forth in Schedule 1 as they apply to the undersigned Holder are true and complete in all material respects as of the date on which Holder exercises the Warrant. Please (i) issue and deliver the Warrant Tokens to Holder at the network address set forth below and (ii) deliver to Holder, at the address set forth below, evidence that the Warrant Tokens have been registered in Holder's name and allocated to Holder using the network address set forth below.

_____
(Address)

_____
(City, State, Zip Code)

_____
(Federal Tax Identification Number)

_____
(Network Address)

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WHEREFORE, the undersigned Holder has executed and delivered the Warrant and this Exercise Notice as of the date set forth below.

HOLDER

[[$125k Investor (Early Stage) Signature Block]]

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Schedule 1

Holder hereby represents and warrants to the Company as follows:

1(a) Holder has full legal capacity, power and authority to execute and deliver this Warrant and to perform its obligations hereunder. This Warrant constitutes a valid and binding obligation of Holder, enforceable in accordance with its terms, except as limited by bankruptcy, insolvency or other laws of general application relating to or affecting the enforcement of creditors' rights generally and general principles of equity.

1(b) Holder is an accredited investor as such term is defined in Rule 501 of Regulation D under the Securities Act. Holder has been advised that this Warrant and the underlying securities have not been registered under the Securities Act, or any state securities laws and, therefore, cannot be resold unless they are registered under the Securities Act and applicable state securities laws or unless an exemption from such registration requirements is available. Holder is purchasing this Warrant for its own account for investment, not as a nominee or agent, and not with a view to, or for resale in connection with, the distribution thereof, and Holder has no present intention of selling, granting any participation in, or otherwise distributing the same. Holder has such knowledge and experience in financial and business matters that Holder is capable of evaluating the merits and risks of such investment, is able to incur a complete loss of such investment without impairing Holder's financial condition and is able to bear the economic risk of such investment for an indefinite period of time.

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IMPORTANT NOTICE: THIS YC WARRANT TO PURCHASE TOKENS IS ONLY APPLICABLE TO COMPANIES THAT LAUNCH TOKENS. THIS FORM IS SPECIFICALLY TAILORED FOR YC'S USE AND IS NOT INTENDED FOR GENERAL USE WITH OTHER INVESTORS.

THIS WARRANT HAS NOT BEEN REGISTERED WITH THE SECURITIES AND EXCHANGE COMMISSION OR THE SECURITIES COMMISSION OF ANY STATE IN RELIANCE UPON AN EXEMPTION FROM REGISTRATION UNDER THE SECURITIES ACT OF 1933, AS AMENDED (THE "**SECURITIES ACT**"), AND STATE SECURITIES LAWS AND, ACCORDINGLY, MAY NOT BE OFFERED OR SOLD WITHIN THE UNITED STATES (AS SUCH TERM IS DEFINED IN REGULATION S UNDER THE SECURITIES ACT) EXCEPT PURSUANT TO AN EFFECTIVE REGISTRATION STATEMENT OR PURSUANT TO A QUALIFIED OFFERING STATEMENT PURSUANT TO REGULATION A OF THE SECURITIES ACT UNDER THE SECURITIES ACT OR PURSUANT TO AN AVAILABLE EXEMPTION FROM, OR IN A TRANSACTION NOT SUBJECT TO, THE REGISTRATION REQUIREMENTS OF THE SECURITIES ACT AND IN ACCORDANCE WITH APPLICABLE STATE SECURITIES LAWS AS EVIDENCED BY A LEGAL OPINION OF COUNSEL TO THE TRANSFEROR TO SUCH EFFECT, THE FORM AND SUBSTANCE OF WHICH SHALL BE ACCEPTABLE TO THE COMPANY.

[[COMPANY NAME]]

WARRANT TO PURCHASE TOKENS

Issue Date: [[Date]]
Purchase Price: $187
Warrant Exercise Price: As set forth in Section 1
Expiration Date: As set forth in Section 1

THIS CERTIFIES THAT in consideration of the sum set forth above (the "**Purchase Price**") and paid on the date hereof to [[Company Name]], a [[State of Incorporation]] corporation (the "**Company**"), receipt of which is hereby acknowledged, [[$375k Investor (Early Stage Plus) Name]] or its permitted assignee ("**Holder**") is entitled, subject to the terms and conditions of this Warrant, to purchase at the applicable Warrant Exercise Price (as defined below), at any time prior to the Expiration Date (as defined below), up to the Holder's Portion of Tokens (as defined below), upon delivery to the Company of a duly executed exercise notice in the form attached hereto as Exhibit 1 (the "**Exercise Notice**") and simultaneous payment of an amount equal to the Warrant Exercise Price, if applicable.

1. ***Definitions.*** The following definitions shall apply for purposes of this Warrant:

"**Affiliate**" means, with respect to any specified Person, any other Person who, directly or indirectly, controls, is controlled by, or is under common control with such Person, including without limitation any general partner, managing member, officer, director or trustee of such Person, or any venture capital fund or registered investment company now or hereafter existing that is controlled by one or more general partners, managing members or investment advisers of, or shares the same management company or investment adviser with, such Person, where "control" is defined as directly or indirectly possessing the power to direct or cause the direction of the management and policies of the Affiliate, whether through ownership of voting securities, by contract or otherwise. With respect to Holder, an Affiliate will include, without limitation, (i) any affiliated corporation, limited liability company, or general partner; (ii) any entity that receives any services from Y Combinator Management, LLC or subsidiary thereof; (iii) any investment fund or similar vehicle in respect of which any of the foregoing plays a material management role; (iv) any other entity in any manner affiliated

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or associated with any of the foregoing which entity uses the "Y Combinator," "YC" or "YC Fund" or "Y Combinator Continuity" trademark or tradename; (v) any other entity generally considered a constituent part of the collection of entities commonly referred to as "Y Combinator;" and (vi) any predecessor or successor entities to any of the foregoing.

"**Business Day**" means a weekday on which banks are open for general banking business in San Francisco, California.

"**Company**" shall include, in addition to the Company identified in the opening paragraph of this Warrant, any corporation or other entity that succeeds to the Company's obligations under this Warrant, whether by permitted assignment, by merger or consolidation or otherwise.

"**Change of Control**" means (i) a transaction or series of related transactions in which any "person" or "group" (within the meaning of Section 13(d) and 14(d) of the Securities Exchange Act of 1934, as amended), becomes the "beneficial owner" (as defined in Rule 13d-3 under the Securities Exchange Act of 1934, as amended), directly or indirectly, of more than 50% of the outstanding voting securities of the Company having the right to vote for the election of members of the Company's board of directors, (ii) any reorganization, merger or consolidation of the Company, other than a transaction or series of related transactions in which the holders of the voting securities of the Company outstanding immediately prior to such transaction or series of related transactions retain, immediately after such transaction or series of related transactions, at least a majority of the total voting power represented by the outstanding voting securities of the Company or such other surviving or resulting entity or (iii) a sale, lease or other disposition of all or substantially all of the assets of the Company.

"**Excluded Tokens**" means, with respect to any Token, (i) Tokens issued or used solely for development, testing or experimental purposes, (ii) Tokens that may be created and issued following a Token Launch pursuant to staking, rewards or inflationary or dilutive controls; *provided*, that any such Tokens (a) dilute all Tokens equally, (b) are issued in accordance with the governance terms of the Protocol and not in the sole discretion of the Company, any Token Affiliate or any Insider, and (c) with respect to any staking or rewards process, Holder is allowed to participate in any such staking or rewards process on the same basis as other participants (any such Tokens, "**Autonomously Generated Tokens**"), and (iii) non-fungible Tokens issued in arms' length transactions in the ordinary course of business; provided that no such disposition shall be to the Company, any Token Affiliate or any Insider unless Holder is entitled to participate in any such disposition on the same basis as other participants.

"**Expiration Date**" means the earlier of (i) 5:00 p.m. Pacific Time on the date that is 10 years following the Issue Date, (ii) with respect to any specific Token, 60 days following the receipt by Holder of notice of any initial Token Structuring Event or (iii) the date the Company and other Token Issuers irrevocably and affirmatively decide not to develop any Token and notify the Holder of the same.

"**Founder**" means [[Founder Name]].

"**Insider**" means any current or former investors, stockholders, Founders, employees, officers, directors and advisors or other consultants of the Company or any Token Issuer (if other than the Company).

"**Parent**" shall mean any entity (other than the Company) in an unbroken chain of entities ending with the Company, if each of the entities other than the Company owns securities possessing 50.1% or more of the total combined voting power of all classes of securities in one of the other entities in such chain.

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"**Person**" means any individual, corporation, partnership, trust, limited liability company, association or other entity, including any decentralized autonomous organization or other similar decentralized or distributed entity.

"**Portion**" means, with respect to Holder and any Token, such amount of Tokens as shall equal (without double counting) 35% of such Holder's Pro Rata Portion of the Total Network Tokens, subject to the last sentence of this definition. The "**Pro Rata Portion**", means, with respect to Holder, the ratio (i) that the number of shares of Common Stock of the Company, including any shares of Common Stock issued to the original Holder or issuable to the original Holder upon conversion of shares of Preferred Stock or other outstanding securities of the Company (treating any Simple Agreements for Future Equity ("**Safes**") as having converted at the valuation cap or implied valuation cap, as applicable) bears to (ii) the total number of outstanding shares of Common Stock of the Company after giving effect to the conversion or exercise of all outstanding securities into shares of Common Stock of the Company (treating any Safes as having converted at the valuation cap or implied valuation cap, as applicable, with any Safes without a valuation cap or implied valuation cap excluded from such number), in each case, as of the initial Token Structuring Event of such Token. In the event that Holder holds a Company Safe that does not contain a valuation cap or implied valuation cap (for example, if such Company Safe contains an "MFN" term but the Company has not yet issued securities that would trigger such MFN term to supply an implied valuation cap) ("**Uncapped Safe**"), then "**Portion**" shall mean 1% of the Total Network Tokens; provided that, in the event that Holder holds securities other than the Uncapped Safe, then "Portion" shall mean 1% of the Total Network Tokens plus 35% of Holder's Pro Rata Portion of the Total Network Tokens (excluding the Uncapped Safe from such Pro Rata Portion calculation).

"**Pre-Launch Valuation**" means the fair market value per Token as determined by an independent valuation consultant contemporaneously with or following the Issue Date and delivered to the Company in connection with any initial Token Structuring Event.

"**Protocol**" means any blockchain-based network protocol, platform or application (including any blockchain-based network of smart contracts or smart contract participants) created, developed, operated or managed by, or based upon, or incorporating material portions of any intellectual property developed, owned or exclusively licensed by the Company or any Token Affiliate.

"**Subsidiary**" shall mean any entity (other than the Company) in an unbroken chain of entities beginning with the Company, if each of the entities other than the last entity in the unbroken chain owns securities possessing 50.1% or more of the total combined voting power of all classes of securities in one of the other entities in such chain.

"**Token Affiliate**" means (i) any Affiliate of the Company, (ii) any Subsidiary or Parent of the Company, or (iii) any other Person (including any foundation formed by or with the cooperation of the Company) that (a) receives a license or assignment of any material intellectual property from the Company (including, without limitation, any trademarks owned by the Company) and uses such intellectual property to effect a sale or other issuance of Tokens (as such term is defined below); (b) uses intellectual property that the Company has released under any free software or open source license to effect a sale or other issuance of Tokens, and any officer or key employee of the Company is rendering (or has rendered) material services to such Person, or (if an entity) any officers or key employees of the Company owns a direct or indirect interest in such Person; or (c) is designated or otherwise granted rights by the Company or an Affiliate to such Person to administrate, manage or operate (in lieu of the Company or such Affiliate) any Protocol.

"**Token Launch**" means, with respect to any Token, the date such Tokens are first issued to non-Insiders (other than any Token Affiliate).

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"**Token(s)**" means any tokens, coins or other digital assets created and issued by the Company, or any Token Affiliate or Founder (if, with respect to a Founder, such asset is created either (i) within twelve-months of the public launch of the Protocol or (ii) within twelve-months of such date that the Founder shall no longer be providing services to the Company) or their respective successors or assigns (collectively, "**Token Issuers**"). For the avoidance of doubt, this excludes any Excluded Tokens.

"**Total Network Tokens**" means, with respect to any Token, the total number of Tokens ever to be minted, generated or created over the lifetime of the applicable Protocol (including Tokens issuable on conversion of this Warrant).

"**Token Structuring Event**" means, with respect to any Token, the date such Tokens are minted, generated or created, if ever, and available for issuance, including any Token Launch.

"**Transfer**" means sell, loan, collateralize, sponsor, distribute, issue or otherwise dispose of or encumber.

"**Warrant**" means this Warrant and any warrant(s) delivered in substitution or exchange therefor, as provided herein.

"**Warrant Exercise Price**" means, with respect to any Token, (i) with respect to the initial exercise, the lesser of (a) $375 (in the aggregate, to purchase that number of Tokens for which Holder initially exercises this Warrant), and (b) the Pre-Launch Valuation per Token multiplied by that number of Tokens for which Holder initially exercises this Warrant, and (ii) with respect to each subsequent exercise, the lesser of (a) $187 (in the aggregate, to purchase that number of Tokens for which Holder exercises this Warrant) and (b) the Pre-Launch Valuation per Token multiplied by that number of Tokens for which Holder exercises this Warrant.

2. ***Exercise***

(a) **Method of Exercise.** Subject to the terms and conditions of this Warrant, Holder may exercise this Warrant with respect to any Token, from time to time, on any Business Day on or after the initial Token Structuring Event for such Token and before the Expiration Date, for up to Holder's Portion of Tokens; provided, that, if the Holder's Portion is increased pursuant to Section 3(d) following any Expiration Date (a "***Post-Expiration Increase***"), this Warrant may nevertheless be exercised with respect to such Post-Expiration Increase from time to time, on any Business Day on or prior to 5:00 p.m. Pacific Time on the date that is 10 years following the Issue Date. Subject to the immediately preceding sentence, this Warrant may be exercised any number of times by Holder to provide Holder the opportunity to purchase up to Holder's Portion of Tokens following each instance that new Tokens are minted, generated or created following the initial Token Structuring Event for such Token, and may be separately exercised with respect to each separate Token. This Warrant shall be exercised by submitting a copy of the Exercise Notice, duly executed by Holder, and by payment in a form specified in Section 2(b) hereof of an amount equal to the Warrant Exercise Price, if applicable.

(b) **Form of Payment.** Payment for Holder's Portion of the Tokens upon each exercise may be made by (i) a check payable to the Company's order, (ii) wire transfer of funds to the Company, (iii) cancellation of indebtedness of the Company to Holder, (iv) by net exercise as provided in Section 2(e) hereof, (v) transfer of U.S. dollar stablecoins acceptable to the Company or (vi) any combination of the foregoing.

(c) **Delivery of Tokens.** In connection with each exercise pursuant to this Section 2, the Holder will provide the Company an Exercise Notice specifying a network address to allocate Holder's Tokens to upon such exercise (or otherwise upon the applicable date of delivery, as described herein), and the Company shall deliver, or cause to be delivered, such Tokens to such network address. Holder may update

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such network address by providing written notice in accordance with Section 8(e); provided, that the Company need not consider such updated network address to be valid until the Company has confirmed receipt of such notice.

(d) **Restrictions on Exercise.** This Warrant may not be exercised if the issuance of the Tokens upon such exercise would constitute a violation of any applicable federal or state laws or other regulations, as determined by the board of directors of the Company upon the advice of counsel. As a condition to each exercise of this Warrant, Holder shall execute a copy of the Exercise Notice, confirming and acknowledging that the representations and warranties set forth in Section 7 as they apply to Holder are true and complete as of the date of exercise. In the event that external legal counsel to the Company advises the Company that it is necessary or advisable for regulatory reasons, Holder shall also be required to deliver, as a condition to exercise, an accredited investor verification letter from a qualified third-party verifying that Holder is an "accredited investor" within the meaning of Rule 501 of the Securities Act. The Holder acknowledges that the Company is not obligated, and the Company has not made any determination, to generate Tokens.

(e) **Net Exercise Election.**

(i) Upon each exercise of this Warrant and subject to the Transfer Restrictions, Holder may elect to make such exercise without the payment by Holder of any additional consideration, by submitting a copy of the Exercise Notice with the net exercise election selected, duly executed by Holder, for the number of Tokens that is obtained under the following formula:

$$\mathbf{X = Y - (A \div B)}$$

where X = the number of Tokens to be issued to Holder pursuant to a net exercise of this Warrant effected pursuant to this Section 2(e).

Y = the number of Tokens equal to Holder's Portion.

A = the Warrant Exercise Price.

B = the fair market value of one Token, determined at the time of such net exercise as set forth in the last paragraph of this Section 2(e).

(ii) The Company will promptly respond in writing to an inquiry by Holder as to the then current fair market value of one Token. For purposes of the calculation in Section 2(e)(i) the fair market value of one Token shall be determined by the Company's or Parent's board of directors in good faith.

(f) **Notice of Expiration, Token Structuring Events and Token Launch.** The Company shall provide Holder with (i) at least sixty (60) days' notice prior to any Expiration Date, (ii) at least fifteen (15) days' notice prior to a consummation of any Token Structuring Event by a Token Issuer and (iii) at least fifteen (15) days' notice price to a consummation of any Token Launch, which notice shall include (a) in each case, a description of the number of Tokens that have been issued by a Token Issuer during the term of the Warrant and the Holder's Portion (including the calculation of such Portion) and (b) in the case of clause (ii), a description of the Protocol and the Tokens to be issued in such Token Structuring Event.

3. ***Issuance of Tokens***

(a) **Date of Issuance.** This Warrant shall be deemed to have been exercised immediately

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prior to the close of business on the date that it is exercised pursuant to the terms of Section 2 above, and the Person entitled to receive the Tokens issuable upon such exercise shall be treated for all purposes as the holder of record of such Tokens as of the close of business on such date. As soon as practicable on or after such date, and in any event within two (2) days following such date of exercise, the Company shall issue and deliver, or cause to be issued and delivered, to the network address specific on the Exercise Notice that the Holder delivers to the Company the Tokens issuable upon such exercise.

(b) **Restrictions on Tokens.** The Tokens issued upon each exercise of this Warrant may be subject to such restrictions on Transfer as required by applicable law, as determined by the board of directors of the Company in good faith and on the advice of external legal counsel and certain additional restrictions on Transfer as may be reasonably requested by the Company (the "**Transfer Restrictions**"); *provided*, that no such Transfer Restrictions shall apply to Holder unless all Tokens that are issued (directly or indirectly) to Insiders are subject to restrictions on Transfer at least an onerous as those applicable to Holder. In addition, any such Transfer Restrictions shall provide that any discretionary waiver or termination of such restrictions that are approved by the board of directors of the Company or any Token Issuer with respect to any Insider shall apply to Holder, pro rata, based on the number of Tokens held by such parties. Notwithstanding anything herein to the contrary, during any period any Tokens issued pursuant to this Warrant are subject to Transfer Restrictions, Holder may (i) Transfer any Tokens to any Affiliate and (ii) exercise the voting and other governance rights linked to such Tokens or deploy them towards staking in accordance with the governance and other rules of the Protocol. The Company shall have and retain any and all risk of loss of the Tokens arising from programmatic transfer restrictions imposed on the Tokens by or on behalf of any Token Issuer, notwithstanding Holder's or Holder's designated custodian's obtaining custody and possession of the Tokens.

(c) **Reservation of Tokens.** The Company shall reserve, or cause to be reserved, for the benefit of the Holder, and not distribute, sell or encumber, or cause to be not distributed, sold or encumbered, the maximum number of Tokens issuable under this Warrant until this Warrant is fully exercised.

(d) **Token Allocation and Distribution.** In the event that the Total Network Tokens for any Token is increased at any time following the initial Token Structuring Event for such Token, then Holder's Portion with respect to such Token shall be recalculated to take into account such increase.

4. ***Additional Covenants***

(a) **Token Custodians.** Promptly following distribution of any Tokens to the Holder, the Company will use reasonable best efforts to partner with a third-party custodian (including widely available high quality custody solutions such as Anchorage, Coinbase or other Qualified Custodian under SEC rules) so that such custodian will accept and support such Tokens with secure wallet and storage services promptly following such distribution.

(b) **Sybil Attacks & Airdrop Farming**. Holder and the Company will use reasonable efforts to prohibit their respective employees, contractors, Affiliates and the employees and contractors of Holder's respective Affiliates from creating multiple accounts primarily for the purpose of participating in any retroactive airdrop of Tokens.

5. ***Effect of Reorganization, Consolidation or Merger***

(a) (i) In case of any recapitalization or reorganization of the Company (including the conversion of the Company into a foundation company) or (ii) in case the Company shall consolidate with or merge into one or more other corporations or entities, in each case that

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is not a Change of Control (each, a "**Reorganization Event**"), if after such Reorganization Event, this Warrant is exercisable for Tokens of a corporation or entity other than the Company, then such corporation or entity shall duly execute and deliver to Holder a supplement hereto acknowledging such corporation's or other entity's obligations under this Warrant; and in each such case, the terms of this Warrant shall be applicable to Tokens receivable upon the exercise of this Warrant after the consummation of such Reorganization Event. The Company shall promptly give Holder at least ten (10) days' prior written notice of each Reorganization Event.

(b) In the event that a Token Issuer completes a Token Structuring Event while this Warrant is outstanding, then this Warrant shall become exercisable for Holder's Portion of such Tokens. The Company covenants and agrees that to the extent that such Token Structuring Event is consummated by any party other than the Company, the Company will, as a condition to any participation in, cooperation with, or transfer or license of rights with respect to, such Token Structuring Event, ensure that the Token Issuer accepts, in writing for the benefit of Holder, the obligation to issue the applicable Tokens to Holder upon exercise of this Warrant in accordance with the terms hereof.

6. ***Representations and Warranties of Company*.** The Company hereby represents and warrants to Holder as of the Issue Date:

(a) **Organization, Good Standing, Corporate Power and Qualification.** The Company is a corporation duly organized, validly existing and in good standing under the laws of its state of incorporation and has all requisite corporate power and authority to carry on its business as now conducted and as presently proposed to be conducted. The Company is duly qualified to transact business and is in good standing in each jurisdiction in which the failure to so qualify would have a material adverse effect.

(b) **Authorization.** All corporate action required to be taken by the board of directors of the Company and the Company's shareholders in order to authorize the Company to enter into this Warrant, and to issue any other similar warrants to purchase tokens from the Company, has been taken or will be taken prior to the Issue Date. All action on the part of the officers of the Company necessary for the execution and delivery of this Warrant, the performance of all obligations of the Company under this Warrant to be performed as of the Issue Date, and the issuance and delivery of this Warrant has been taken or will be taken prior to the Issue Date. This Warrant, when executed and delivered by the Company, shall constitute valid and legally binding obligations of the Company, enforceable against the Company in accordance with their respective terms except (i) as limited by applicable bankruptcy, insolvency, reorganization, moratorium, fraudulent conveyance, or other laws of general application relating to or affecting the enforcement of creditors' rights generally, or (ii) as limited by laws relating to the availability of specific performance, injunctive relief, or other equitable remedies.

(c) **Governmental Consents and Filings.** Assuming the accuracy of the representations made by the Holder in Section 7 of this Warrant, no consent, approval, order or authorization of, or registration, qualification, designation, declaration or filing with, any federal, state or local governmental authority is required on the part of the Company in connection with the issuance of the Warrants, except for filings pursuant to Regulation D of the Securities Act, and applicable state securities laws, which have been made or will be made in a timely manner.

(d) **Marketable Title.** Upon delivery of the Tokens upon exercise of the Warrant, Token Issuer shall deliver, and Holder shall have, good and marketable title to the

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Tokens, free and clear of all liens, claims, charges and encumbrances of any kind whatsoever. The Tokens issuable hereunder will be, upon exercise of the Warrant, fully vested and are not subject to any restrictions on transfer that may otherwise bind the Holder, except as set forth in Section 3(b).

7. ***Representations and Warranties of Holder*****.** In order to induce the Company to issue this Warrant to the original Holder, the original Holder has made representations and warranties to the Company as set forth on Schedule 1.

8. ***General Provisions***

(a) **Attorneys' Fees.** In the event any party is required to engage the services of any attorneys for the purpose of enforcing this Warrant, or any provision thereof, the prevailing party shall be entitled to recover its reasonable expenses and costs in enforcing this Warrant, including attorneys' fees.

(b) **Transfer.** Except as expressly provided hereunder, neither this Warrant nor any rights hereunder may be assigned, conveyed or Transferred by Holder, in whole or in part, without the Company's prior written consent; provided, that, notwithstanding the foregoing, Holder may assign convey or transfer this Warrant and/or any rights hereunder to (i) an Affiliate, partner, member, limited partner, retired or former partner, retired or former member, or stockholder of the Holder or (ii) subject to the Company's prior written consent, which shall not be unreasonably withheld, any other Person; provided further, and, as a condition precedent to the Company's recognition of such transfer, each transferee or assignee shall agree in writing to be subject to each of the terms of the Warrant and make the representations and warranties to the Company as set forth on Schedule 1. The rights and obligations of the Company and the Holder under this Warrant shall be binding upon and benefit their respective permitted successors, assigns, heirs, administrators and transferees.

(c) **Governing Law.** All rights and obligations hereunder will be governed by the laws of the State of California, without regard to the conflicts of law provisions of such jurisdiction.

(d) **Headings.** The headings and captions used in this Warrant are used only for convenience and are not to be considered in construing or interpreting this Warrant. All references in this Warrant to Sections and Exhibits shall, unless otherwise provided, refer to sections hereof and exhibits attached hereto, all of which exhibits are incorporated herein by this reference.

(e) **Notices.** Unless otherwise provided herein, any notice required or permitted by this Warrant will be deemed sufficient when delivered personally or by overnight courier or sent by email to the relevant address listed on the signature page, or 48 hours after being deposited in the U.S. mail as certified or registered mail with postage prepaid, addressed to the party to be notified at such party's address listed on the signature page, as subsequently modified by written notice.

(f) **Amendment; Waiver.** This Warrant may be amended and provisions may be waived (either generally or in a particular instance and either retroactively or prospectively), only with the written consent of each of (i) the Company and (ii) the Holder.

(g) **Severability.** In the event any one or more of the provisions of this Warrant is for any reason held to be invalid, illegal or unenforceable, in whole or in part or in any respect, or in the event that any one or more of the provisions of this Warrant operate or would prospectively operate to invalidate this Warrant, then and in any such event, such provision(s) only will be deemed null and void and will not affect any other provision of this Warrant and the remaining provisions of this Warrant will remain operative and in full force and effect and will not be affected, prejudiced, or disturbed thereby.

TOKEN ISSUERS ONLY

(h) **Entire Agreement.** This Warrant, that certain Y Combinator Agreement by and between the Company, Founders and the Holder, and the documents referred to herein and therein and all attachments hereto and thereto, together with all the exhibits and schedules hereto and thereto, constitute the entire agreement and understanding of the parties with respect to Holder's Token rights and supersede any and all prior negotiations, correspondence, warrants, agreements, understandings duties or obligations between the parties with respect to the subject matter hereof.

(i) **Further Assurances**. At any time or from time to time after the date hereof, the Company shall cooperate with the Holder, and at the request of the Holder, shall execute and deliver any further instruments or documents and to take all such further actions as the Holder may reasonably request in order to carry out the intent of this Warrant.

(j) **No Impairment**. Except and to the extent waived or consented to by the Holder, or as otherwise permitted under the terms hereof, neither the Company nor any Token Issuer will, by amendment of its corporate documents or through any reorganization, transfer of assets, consolidation, merger, dissolution, issue or sale of securities or any other voluntary action, avoid or seek to avoid the observance or performance of any of the terms to be observed or performed hereunder by the Company or such Token Issuer, but will at all times in good faith assist in the carrying out of all the provisions of this Warrant and in the taking of all such action as may be necessary or appropriate in order to protect the rights of the Holder hereunder against impairment.

(k) **Reporting Matters**. The parties hereto intend, and the Company will treat, this Warrant as an option for applicable tax purposes through and including the initial exercise of this Warrant; provided that the foregoing would not apply should the applicable tax laws change in the future in a way that, in the opinion of counsel, would cause the Company's compliance with the foregoing to violate such tax laws.

(l) **Counterparts**. This Warrant may be executed in one or more counterparts, each of which will be deemed an original, but all of which together will constitute one and the same agreement. Facsimile copies of signed signature pages will be binding originals.

(m) **Independent Review**. The parties acknowledge that, regardless of which party had primary responsibility for the drafting of this Warrant, each party had the opportunity to review this Warrant in its entirety prior to signing and, if such party so chose, to consult with independent legal counsel. Therefore, each party hereby waives the application of any law, rule or regulation, or rule of construction, providing that ambiguities in an agreement or other document will be construed against the drafter.

(Signature page follows)

TOKEN ISSUERS ONLY

IN WITNESS WHEREOF, the parties hereto have executed this Warrant to Purchase Tokens as of the date first written above.

COMPANY

[[Company Signature Block]]

TOKEN ISSUERS ONLY

IN WITNESS WHEREOF, the parties hereto have executed this Warrant to Purchase Tokens as of the date first written above.

HOLDER

[[$375k Investor (Early Stage Plus) Signature Block]]

TOKEN ISSUERS ONLY

EXHIBIT 1

EXERCISE NOTICE

(To be completed and signed only upon each exercise of the Warrant)

To: _____ (the "***Company***")

We refer to that certain Warrant to Purchase Tokens of the Company issued on _____ (the "***Warrant***"). All terms used but not defined herein have the meanings given to them in the Warrant.

Select one of the following two alternatives:

❒ **Cash Exercise.** On the terms and conditions set forth in the Warrant, the undersigned Holder hereby elects to purchase its Portion of the Tokens (the "***Warrant Tokens***"), pursuant to the terms of the attached Warrant, and tenders herewith payment of the Warrant Exercise Price in full.

❒ **Net Exercise Election.** On the terms and conditions set forth in the Warrant, the undersigned Holder elects to convert the Warrant into Tokens by net exercise election pursuant to Section 2(e) of the Warrant.

In exercising the Warrant, the undersigned Holder hereby confirms and acknowledges that the representations and warranties set forth in Schedule 1 as they apply to the undersigned Holder are true and complete in all material respects as of the date on which Holder exercises the Warrant. Please (i) issue and deliver the Warrant Tokens to Holder at the network address set forth below and (ii) deliver to Holder, at the address set forth below, evidence that the Warrant Tokens have been registered in Holder's name and allocated to Holder using the network address set forth below.

_____
(Address)

_____
(City, State, Zip Code)

_____
(Federal Tax Identification Number)

_____
(Network Address)

TOKEN ISSUERS ONLY

WHEREFORE, the undersigned Holder has executed and delivered the Warrant and this Exercise Notice as of the date set forth below.

HOLDER

[[$375k Investor (Early Stage Plus) Signature Block]]

TOKEN ISSUERS ONLY

Schedule 1

Holder hereby represents and warrants to the Company as follows:

1(a) Holder has full legal capacity, power and authority to execute and deliver this Warrant and to perform its obligations hereunder. This Warrant constitutes a valid and binding obligation of Holder, enforceable in accordance with its terms, except as limited by bankruptcy, insolvency or other laws of general application relating to or affecting the enforcement of creditors' rights generally and general principles of equity.

1(b) Holder is an accredited investor as such term is defined in Rule 501 of Regulation D under the Securities Act. Holder has been advised that this Warrant and the underlying securities have not been registered under the Securities Act, or any state securities laws and, therefore, cannot be resold unless they are registered under the Securities Act and applicable state securities laws or unless an exemption from such registration requirements is available. Holder is purchasing this Warrant for its own account for investment, not as a nominee or agent, and not with a view to, or for resale in connection with, the distribution thereof, and Holder has no present intention of selling, granting any participation in, or otherwise distributing the same. Holder has such knowledge and experience in financial and business matters that Holder is capable of evaluating the merits and risks of such investment, is able to incur a complete loss of such investment without impairing Holder's financial condition and is able to bear the economic risk of such investment for an indefinite period of time.

TOKEN ISSUERS ONLY

THIS INSTRUMENT AND ANY SECURITIES ISSUABLE PURSUANT HERETO HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED (THE "**SECURITIES ACT**"), OR UNDER THE SECURITIES LAWS OF CERTAIN STATES. THESE SECURITIES MAY NOT BE OFFERED, SOLD OR OTHERWISE TRANSFERRED, PLEDGED OR HYPOTHECATED EXCEPT AS PERMITTED IN THIS SAFE AND UNDER THE ACT AND APPLICABLE STATE SECURITIES LAWS PURSUANT TO AN EFFECTIVE REGISTRATION STATEMENT OR AN EXEMPTION THEREFROM.

CLAYBIRD INC.

SAFE
POSTMONEY
(Simple Agreement for Future Equity)

THIS CERTIFIES THAT in exchange for the payment by Y Combinator ES24, LLC (the "**Investor**") of $125,000.00 (the "**Purchase Amount**") on or about , Claybird Inc., a Delaware corporation (the "**Company**"), issues to the Investor the right to certain shares of the Company's Capital Stock, subject to the terms described below. See **Section 2** for certain defined terms. The Purchase Amount will be paid by the Investor by check payable to the Company, by wire transfer to a bank account designated by the Company, by cancellation or conversion of indebtedness of the Company to Investor, or by any combination of such methods.

1. ***Events***

(a) **Equity Financing.** If there is an Equity Financing before the termination of this Safe, on the initial closing of such Equity Financing, this Safe will automatically convert into a number of shares of Safe Preferred Stock equal to the Company Capitalization multiplied by the YC Percentage.

In connection with the automatic conversion of this Safe into shares of Safe Preferred Stock, the Investor will execute and deliver to the Company all of the transaction documents related to the Equity Financing; *provided*, that such transaction documents (i) are reasonable (in the sole discretion of the Investor) and are the same documents to be entered into with the purchasers of Standard Preferred Stock, with appropriate variations for the Safe Preferred Stock; and (ii) have customary exceptions to any drag-along applicable to the Investor, including (without limitation) limited representations, warranties, liability and indemnification obligations for the Investor.

(b) **Liquidity Event.** If there is a Liquidity Event before the termination of this Safe, this Safe will automatically be entitled (subject to the liquidation priority set forth in Section 1(d) below) to receive a portion of Proceeds, due and payable to the Investor immediately prior to, or concurrent with, the consummation of such Liquidity Event, equal to the greater of (i) the Purchase Amount (the "**Cash-Out Amount**") or (ii) the amount payable on the number of shares of Common Stock equal to the Liquidity Capitalization multiplied by the YC Percentage (the "**Conversion Amount**"). If any of the Company's securityholders are given a choice as to the form and amount of Proceeds to be received in a Liquidity Event, the Investor will be given the same choice, *provided* that the Investor may not choose to receive a form of consideration that the Investor would be ineligible to receive as a result of the Investor's failure to satisfy any requirement or limitation generally applicable to the Company's securityholders, or under any applicable laws.

Notwithstanding the foregoing, in connection with a Change of Control intended to qualify as a tax-free reorganization, the Company may reduce the cash portion of Proceeds payable to the Investor by the amount determined by its board of directors in good faith for such Change of Control to qualify as a tax-free reorganization for U.S. federal income tax purposes, provided that such reduction (A) does not reduce the total Proceeds payable to such Investor and (B) is applied in the same manner and on a pro rata basis to all securityholders who have equal priority to the Investor under Section 1(d).

(c) **Dissolution Event**. If there is a Dissolution Event before the termination of this Safe, the Investor will automatically be entitled (subject to the liquidation priority set forth in Section 1(d) below) to receive a portion of Proceeds

equal to the Cash-Out Amount, due and payable to the Investor immediately prior to the consummation of the Dissolution Event.

(d) **Liquidation Priority**. In a Liquidity Event or Dissolution Event, this Safe is intended to operate like standard non-participating Preferred Stock. The Investor's right to receive its Cash-Out Amount is:

(i) Junior to payment of outstanding indebtedness and creditor claims, including contractual claims for payment and convertible promissory notes (to the extent such convertible promissory notes are not actually or notionally converted into Capital Stock);

(ii) On par with payments for other Safes and/or Preferred Stock, and if the applicable Proceeds are insufficient to permit full payments to the Investor and such other Safes and/or Preferred Stock, the applicable Proceeds will be distributed pro rata to the Investor and such other Safes and/or Preferred Stock in proportion to the full payments that would otherwise be due; and

(iii) Senior to payments for Common Stock.

The Investor's right to receive its Conversion Amount is (A) on par with payments for Common Stock and other Safes and/or Preferred Stock who are also receiving Conversion Amounts or Proceeds on a similar as-converted to Common Stock basis, and (B) junior to payments described in clauses (i) and (ii) above (in the latter case, to the extent such payments are Cash-Out Amounts or similar liquidation preferences).

(e) **Termination.** This Safe will automatically terminate (without relieving the Company of any obligations arising from a prior breach of or non-compliance with this Safe) immediately following the earliest to occur of: (i) the issuance of Capital Stock to the Investor pursuant to the automatic conversion of this Safe under Section 1(a); or (ii) the payment, or setting aside for payment, of amounts due the Investor pursuant to Section 1(b) or Section 1(c).

2. ***Definitions***

"**Affiliate**" means (i) any person or entity that controls, is controlled by or is under common control with Investor, including, without limitation, any affiliated corporation, limited liability company, or general partner; (ii) any entity that receives any services from Y Combinator Management, LLC or subsidiary thereof; (iii) any investment fund or similar vehicle in respect of which any of the foregoing plays a material management role; (iv) any other entity in any manner affiliated or associated with any of the foregoing which entity uses the "Y Combinator," "YC" or "YC Fund" or "Y Combinator Continuity" trademark or tradename; (v) any other entity generally considered a constituent part of the collection of entities commonly referred to as "Y Combinator;" and (vi) any predecessor or successor entities to any of the foregoing.

"**Capital Stock**" means the capital stock of the Company, including, without limitation, the "**Common Stock**" and the "**Preferred Stock**."

"**Change of Control**" means (i) a transaction or series of related transactions in which any "person" or "group" (within the meaning of Section 13(d) and 14(d) of the Securities Exchange Act of 1934, as amended), becomes the "beneficial owner" (as defined in Rule 13d-3 under the Securities Exchange Act of 1934, as amended), directly or indirectly, of more than 50% of the outstanding voting securities of the Company having the right to vote for the election of members of the Company's board of directors, (ii) any reorganization, merger or consolidation of the Company, other than a transaction or series of related transactions in which the holders of the voting securities of the Company outstanding immediately prior to such transaction or series of related transactions retain, immediately after such transaction or series of related transactions, at least a majority of the total voting power represented by the outstanding voting securities of the Company or such other surviving or resulting entity or (iii) a sale, lease or other disposition of all or substantially all of the assets of the Company.

"**Company Capitalization**" is calculated as of immediately prior to the Equity Financing and (without double-counting, in each case calculated on an as-converted to Common Stock basis):

- Includes all shares of Capital Stock issued and outstanding;
- Includes all Converting Securities;
- Includes all (i) issued and outstanding Options and (ii) Promised Options; and
- Includes the Unissued Option Pool, except that any increase to the Unissued Option Pool in connection with the Equity Financing shall only be included to the extent that the number of Promised Options exceeds the Unissued Option Pool prior to such increase.

"**Converting Securities**" includes this Safe and other convertible securities issued by the Company, including but not limited to: (i) other Safes; (ii) convertible promissory notes and other convertible debt instruments; and (iii) convertible securities that have the right to convert into shares of Capital Stock.

"**Direct Listing**" means the Company's initial listing of its Common Stock (other than shares of Common Stock not eligible for resale under Rule 144 under the Securities Act) on a national securities exchange by means of an effective registration statement on Form S-1 filed by the Company with the SEC that registers shares of existing capital stock of the Company for resale, as approved by the Company's board of directors. For the avoidance of doubt, a Direct Listing shall not be deemed to be an underwritten offering and shall not involve any underwriting services.

"**Dissolution Event**" means (i) a voluntary termination of operations, (ii) a general assignment for the benefit of the Company's creditors or (iii) any other liquidation, dissolution or winding up of the Company (**excluding** a Liquidity Event), whether voluntary or involuntary.

"**Dividend Amount**" means, with respect to any date on which the Company pays a dividend on its outstanding Common Stock, the amount of such dividend that is paid per share of Common Stock multiplied by (x) the Purchase Amount divided by (y) the Liquidity Price (treating the dividend date as a Liquidity Event solely for purposes of calculating such Liquidity Price).

"**Equity Financing**" means a bona fide transaction or series of transactions with the principal purpose of raising capital, pursuant to which the Company issues and sells shares of Preferred Stock at a fixed valuation, including but not limited to, a pre-money or post-money valuation. If the securities to be issued by the Company in any bona fide transaction or series of transactions with the principal purpose of raising capital are shares of Common Stock, the Investor shall have the right, but not the obligation, to treat such transaction or series of related transactions as an Equity Financing for purposes of Section 1, with appropriate adjustments to all references to "Preferred Stock" to account for Common Stock being issued and sold instead.

"**Initial Public Offering**" means the closing of the Company's first firm commitment underwritten initial public offering of Common Stock pursuant to a registration statement filed under the Securities Act.

"**Liquidity Capitalization**" is calculated as of immediately prior to the Liquidity Event, and (without double-counting, in each case calculated on an as-converted to Common Stock basis):

- Includes all shares of Capital Stock issued and outstanding;
- Includes all (i) issued and outstanding Options and (ii) to the extent receiving Proceeds, Promised Options;
- Includes all Converting Securities, **other than** any Safes and other convertible securities (including without limitation shares of Preferred Stock) where the holders of such securities are receiving Cash-Out Amounts or similar liquidation preference payments in lieu of Conversion Amounts or similar "as-converted" payments; and
- Excludes the Unissued Option Pool.

"**Liquidity Event**" means a Change of Control, a Direct Listing or an Initial Public Offering.

"**Liquidity Price**" means the Purchase Amount divided by the number of shares of Common Stock represented by the Conversion Amount pursuant to Section 1(b)(ii).

"**Options**" includes options, restricted stock awards or purchases, RSUs, SARs, warrants or similar securities, vested or unvested.

"**Proceeds**" means cash and other assets (including without limitation stock consideration) that are proceeds from the Liquidity Event or the Dissolution Event, as applicable, and legally available for distribution.

"**Promised Options**" means promised but ungranted Options that are the greater of those (i) promised pursuant to agreements or understandings made prior to the execution of, or in connection with, the term sheet or letter of intent for the Equity Financing or Liquidity Event, as applicable (or the initial closing of the Equity Financing or consummation of the Liquidity Event, if there is no term sheet or letter of intent), (ii) in the case of an Equity Financing, treated as outstanding Options in the calculation of the Standard Preferred Stock's price per share, or (iii) in the case of a Liquidity Event, treated as outstanding Options in the calculation of the distribution of the Proceeds.

"**Safe**" means an instrument containing a future right to shares of Capital Stock, similar in form and content to this instrument, purchased by investors for the purpose of funding the Company's business operations. References to "this Safe" mean this specific instrument.

"**Safe Preferred Stock**" means the shares of the series of Preferred Stock issued to the Investor in an Equity Financing, having the identical rights, privileges, preferences, seniority, liquidation multiple and restrictions as the shares of Standard Preferred Stock, except that any price-based preferences (such as the per share liquidation amount, initial conversion price and per share dividend amount) will be based on the Safe Price.

"**Safe Price**" means the Purchase Amount divided by the number of shares of Safe Preferred Stock issued pursuant to Section 1(a).

"**Standard Preferred Stock**" means the shares of the series of Preferred Stock issued to the investors investing new money in the Company in connection with the initial closing of the Equity Financing.

"**Unissued Option Pool**" means all shares of Capital Stock that are reserved, available for future grant and not subject to any outstanding Options or Promised Options (but in the case of a Liquidity Event, only to the extent Proceeds are payable on such Promised Options) under any equity incentive or similar Company plan.

"**YC Percentage**" means seven percent (7%).

3. ***Company Representations***

(a) The Company is a corporation duly organized, validly existing and in good standing under the laws of its state of incorporation, and has the power and authority to own, lease and operate its properties and carry on its business as now conducted.

(b) The execution, delivery and performance by the Company of this Safe is within the power of the Company and has been duly authorized by all necessary actions on the part of the Company (subject to section 3(d)). This Safe constitutes a legal, valid and binding obligation of the Company, enforceable against the Company in accordance with its terms, except as limited by bankruptcy, insolvency or other laws of general application relating to or affecting the enforcement of creditors' rights generally and general principles of equity. To its knowledge, the Company is not in violation of (i) its current certificate of incorporation or bylaws, (ii) any material statute, rule or regulation applicable to the

Company or (iii) any material debt or contract to which the Company is a party or by which it is bound, where, in each case, such violation or default, individually, or together with all such violations or defaults, could reasonably be expected to have a material adverse effect on the Company.

(c) The performance and consummation of the transactions contemplated by this Safe do not and will not: (i) violate any material judgment, statute, rule or regulation applicable to the Company; (ii) result in the acceleration of any material debt or contract to which the Company is a party or by which it is bound; or (iii) result in the creation or imposition of any lien on any property, asset or revenue of the Company or the suspension, forfeiture, or nonrenewal of any material permit, license or authorization applicable to the Company, its business or operations.

(d) No consents or approvals are required in connection with the performance of this Safe, other than: (i) the Company's corporate approvals; (ii) any qualifications or filings under applicable securities laws; and (iii) necessary corporate approvals for the authorization of Capital Stock issuable pursuant to Section 1.

(e) To its knowledge, the Company owns or possesses (or can obtain on commercially reasonable terms) sufficient legal rights to all patents, trademarks, service marks, trade names, copyrights, trade secrets, licenses, information, processes and other intellectual property rights necessary for its business as now conducted and as currently proposed to be conducted, without any conflict with, or infringement of the rights of, others.

4. *Investor Representations*

(a) The Investor has full legal capacity, power and authority to execute and deliver this Safe and to perform its obligations hereunder. This Safe constitutes a valid and binding obligation of the Investor, enforceable in accordance with its terms, except as limited by bankruptcy, insolvency or other laws of general application relating to or affecting the enforcement of creditors' rights generally and general principles of equity.

(b) The Investor is an accredited investor as such term is defined in Rule 501 of Regulation D under the Securities Act, and acknowledges and agrees that if not an accredited investor at the time of an Equity Financing, the Company may void this Safe and return the Purchase Amount. The Investor has been advised that this Safe and the underlying securities have not been registered under the Securities Act, or any state securities laws and, therefore, cannot be resold unless they are registered under the Securities Act and applicable state securities laws or unless an exemption from such registration requirements is available. The Investor is purchasing this Safe and the securities to be acquired by the Investor hereunder for its own account for investment, not as a nominee or agent, and not with a view to, or for resale in connection with, the distribution thereof, and the Investor has no present intention of selling, granting any participation in, or otherwise distributing the same. The Investor has such knowledge and experience in financial and business matters that the Investor is capable of evaluating the merits and risks of such investment, is able to incur a complete loss of such investment without impairing the Investor's financial condition and is able to bear the economic risk of such investment for an indefinite period of time.

5. *Miscellaneous*

(a) Any provision of this Safe may be amended, waived or modified only upon the written consent of the Company and the Investor.

(b) Any notice required or permitted by this Safe will be deemed sufficient when delivered personally or by overnight courier or sent by email to the relevant address listed on the signature page, or 48 hours after being deposited in the U.S. mail as certified or registered mail with postage prepaid, addressed to the party to be notified at such party's address listed on the signature page, as subsequently modified by written notice.

(c) The Investor is not entitled, as a holder of this Safe, to vote or be deemed a holder of Capital Stock for any purpose other than tax purposes, nor will anything in this Safe be construed to confer on the Investor, as such, any rights of

a Company stockholder or rights to vote for the election of directors or on any matter submitted to Company stockholders, or to give or withhold consent to any corporate action or to receive notice of meetings, until shares have been issued on the terms described in Section 1. However, if the Company pays a dividend on outstanding shares of Common Stock (that is not payable in shares of Common Stock) while this Safe is outstanding, the Company will pay the Dividend Amount to the Investor at the same time.

(d) Neither this Safe nor the rights in this Safe are transferable or assignable, by operation of law or otherwise, by either party without the prior written consent of the other; *provided, however*, that this Safe and/or its rights may be assigned without the Company's consent by the Investor to any Affiliate.

(e) In the event any one or more of the provisions of this Safe is for any reason held to be invalid, illegal or unenforceable, in whole or in part or in any respect, or in the event that any one or more of the provisions of this Safe operate or would prospectively operate to invalidate this Safe, then and in any such event, such provision(s) only will be deemed null and void and will not affect any other provision of this Safe and the remaining provisions of this Safe will remain operative and in full force and effect and will not be affected, prejudiced, or disturbed thereby.

(f) All rights and obligations hereunder will be governed by the laws of the State of California, without regard to the conflicts of law provisions of such jurisdiction.

(g) The parties acknowledge and agree that for United States federal and state income tax purposes this Safe is, and at all times has been, intended to be characterized as stock, and more particularly as common stock for purposes of Sections 304, 305, 306, 354, 368, 1036 and 1202 of the Internal Revenue Code of 1986, as amended. Accordingly, the parties agree to treat this Safe consistent with the foregoing intent for all United States federal and state income tax purposes (including, without limitation, on their respective tax returns or other informational statements).

(Signature page follows)

IN WITNESS WHEREOF, the undersigned have caused this Safe to be duly executed and delivered.

COMPANY

CLAYBIRD INC.

By: Abdullah Nauman
Abdullah Nauman
President and CEO

1223 York Street
San Francisco, California 94110
United States

abdullahbnauman@gmail.com

INVESTOR

Y COMBINATOR ES24, LLC

By: _____

Authorized Signatory

335 Pioneer Way
Mountain View, CA 94041

financings@ycombinator.com

THIS INSTRUMENT AND ANY SECURITIES ISSUABLE PURSUANT HERETO HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED (THE "**SECURITIES ACT**"), OR UNDER THE SECURITIES LAWS OF CERTAIN STATES. THESE SECURITIES MAY NOT BE OFFERED, SOLD OR OTHERWISE TRANSFERRED, PLEDGED OR HYPOTHECATED EXCEPT AS PERMITTED IN THIS SAFE AND UNDER THE ACT AND APPLICABLE STATE SECURITIES LAWS PURSUANT TO AN EFFECTIVE REGISTRATION STATEMENT OR AN EXEMPTION THEREFROM.

CLAYBIRD INC.

SAFE
(Simple Agreement for Future Equity)

THIS CERTIFIES THAT in exchange for the payment by YC ESP24, L.P. (the "**Investor**") of $375,000.00 (the "**Purchase Amount**") on or about , Claybird Inc., a Delaware corporation (the "**Company**"), issues to the Investor the right to certain shares of the Company's Capital Stock, subject to the terms described below. See **Section 2** for certain defined terms. The Purchase Amount will be paid by the Investor by check payable to the Company, by wire transfer to a bank account designated by the Company, by cancellation or conversion of indebtedness of the Company to Investor, or by any combination of such methods.

1. ***Events***

(a) **Equity Financing**. If there is an Equity Financing before the termination of this Safe, on the Equity Financing Closing Date, this Safe will automatically convert into the greater of: (1) a number of shares of Standard Preferred Stock equal to the Purchase Amount divided by the lowest price per share of the Standard Preferred Stock; or (2) subject to Section 4, a number of shares of MFN Stock equal to the Purchase Amount divided by the MFN Conversion Price Per Share.

In connection with the conversion of this Safe into shares of Standard Preferred Stock or MFN Stock, as applicable, the Investor will execute and deliver to the Company the transaction documents related to the Equity Financing; *provided*, that such transaction documents: (i) are reasonable (in the sole discretion of the Investor) and are the same documents to be entered into with the purchasers of Standard Preferred Stock (with appropriate variations for the MFN Stock, as applicable); and (ii) have customary exceptions to any drag-along applicable to the Investor, including (without limitation) limited representations, warranties, liability and indemnification obligations for the Investor.

(b) **Liquidity Event**. If there is a Liquidity Event before the termination of this Safe, this Safe will automatically be entitled (subject to the liquidation priority sections set forth in Section 1(d) and the MFN provision in Section 4 below) to receive a portion of Proceeds, due and payable to the Investor immediately prior to, or concurrent with, the consummation of such Liquidity Event, equal to the Purchase Amount (the "**Cash-Out Amount**"). If any of the Company's securityholders are given a choice as to the form and amount of Proceeds to be received in a Liquidity Event, the Investor will be given the same choice, *provided* that the Investor may not choose to receive a form of consideration that the Investor would be ineligible to receive as a result of the Investor's failure to satisfy any requirement or limitation generally applicable to the Company's securityholders, or under any applicable laws.

Notwithstanding the foregoing, in connection with a Change of Control intended to qualify as a tax-free reorganization, the Company may reduce the cash portion of Proceeds payable to the Investor by the amount determined by its board of directors in good faith for such Change of Control to qualify as a tax-free reorganization for U.S. federal income tax purposes, provided that such reduction (A) does not reduce the total Proceeds payable to such Investor and (B) is applied in the same manner and on a pro rata basis to all securityholders who have equal priority to the Investor under Section 1(d).

(c) **Dissolution Event**. If there is a Dissolution Event before the termination of this Safe, the Investor will automatically be entitled (subject to the liquidation priority set forth in Section 1(d) below) to receive a portion of Proceeds

equal to the Cash-Out Amount, due and payable to the Investor immediately prior to the consummation of the Dissolution Event.

(d) **Liquidation Priority**. In a Liquidity Event or Dissolution Event, this Safe is intended to operate like standard non-participating Preferred Stock. The Investor's right to receive its Cash-Out Amount is:

(i) Junior to payment of outstanding indebtedness and creditor claims, including contractual claims for payment and convertible promissory notes (to the extent such convertible promissory notes are not actually or notionally converted into Capital Stock);

(ii) On par with payments for other Safes and/or Preferred Stock, and if the applicable Proceeds are insufficient to permit full payments to the Investor and such other Safes and/or Preferred Stock, the applicable Proceeds will be distributed pro rata to the Investor and the holders of such other Safes and/or Preferred Stock in proportion to the full payments that would otherwise be due; and

(iii) Senior to payments for Common Stock.

(e) **Termination**. This Safe will automatically terminate (without relieving the Company of any obligations arising from a prior breach of or non-compliance with this Safe) immediately following the earliest to occur of: (i) the issuance of Capital Stock to the Investor pursuant to the automatic conversion of this Safe pursuant to Section 1(a); or (ii) the payment or escrow of amounts due the Investor pursuant to Section 1(b) or Section 1(c).

2. ***Definitions***

"**Affiliate**" means: (i) any person or entity that controls, is controlled by or is under common control with Investor, including, without limitation, any affiliated corporation, limited liability company, or general partner; (ii) any entity that receives any services from Y Combinator Management, LLC or subsidiary thereof; (iii) any investment fund or similar vehicle in respect of which any of the foregoing plays a material management role; (iv) any other entity in any manner affiliated or associated with any of the foregoing which entity uses the "Y Combinator," "YC" or "YC Fund" or "Y Combinator Continuity" trademark or tradename; (v) any other entity generally considered a constituent part of the collection of entities commonly referred to as "Y Combinator;" and (vi) any predecessor or successor entities to any of the foregoing.

"**Capital Stock**" means the capital stock of the Company Parties, including, without limitation, the "**Common Stock**" and the "**Preferred Stock**."

"**Change of Control**" means (i) a transaction or series of related transactions in which any "person" or "group" (within the meaning of Section 13(d) and 14(d) of the Securities Exchange Act of 1934, as amended), becomes the "beneficial owner" (as defined in Rule 13d-3 under the Securities Exchange Act of 1934, as amended), directly or indirectly, of more than 50% of the outstanding voting securities of the Company having the right to vote for the election of members of the Company's board of directors, (ii) any reorganization, merger or consolidation of the Company, other than a transaction or series of related transactions in which the holders of the voting securities of the Company outstanding immediately prior to such transaction or series of related transactions retain, immediately after such transaction or series of related transactions, at least a majority of the total voting power represented by the outstanding voting securities of the Company or such other surviving or resulting entity or (iii) a sale, lease or other disposition of all or substantially all of the assets of the Company.

"**Company Parties**" means the Company and its subsidiaries, related entities, affiliates, predecessors, successors and assigns, and any entity for which the Company has or exercises management or executory authority or control.

"**Conversion Price Per Share**" means the price per share at which any Covered Securities are either (i) issued for new money investment or (ii) converted by their terms into Capital Stock in connection with a Priced Round.

"**Converting Securities**" includes this Safe and other convertible securities issued by the Company Parties, including but not limited to: (i) other Safes; (ii) convertible promissory notes and other convertible debt instruments; and (iii) convertible securities that have the right to convert into shares of Capital Stock.

"**Corporate Reorganization**" means, collectively, a series of contemporaneous transactions in form and substance satisfactory to Investor, the purpose of which is (i) to organize the holding company of the Company Parties in a new jurisdiction, or (ii) to change the organizational form of the Company Parties, including, without limitation, a change to a corporate form.

"**Covered Securities**" means, collectively, Converting Securities and Preferred Stock issued during the MFN Period; *provided, however*, that Covered Securities will exclude: (i) this Safe and the YC ES Safe; (ii) options or restricted stock issued pursuant to any equity incentive or similar plan of the Company; (iii) convertible securities issued or issuable to (a) banks, equipment lessors, financial institutions or other persons engaged in the business of making loans pursuant to a debt financing or commercial leasing or (b) suppliers or third party service providers in connection with the provision of goods or services pursuant to transactions; (iv) convertible securities issued or issuable in connection with sponsored research, collaboration, technology license, development, OEM, marketing or other similar agreements or strategic partnerships; (v) the Excluded Corporate Reorganization Securities; and (vi) the Excluded Preferred Stock.

"**Direct Listing**" means the Company's initial listing of its Common Stock (other than shares of Common Stock not eligible for resale under Rule 144 under the Securities Act) on a national securities exchange by means of an effective registration statement on Form S-1 filed by the Company with the SEC that registers shares of existing capital stock of the Company for resale, as approved by the Company's board of directors. For the avoidance of doubt, a Direct Listing will not be deemed to be an underwritten offering and will not involve any underwriting services.

"**Dissolution Event**" means (i) a voluntary termination of operations, (ii) a general assignment for the benefit of the Company's creditors or (iii) any other liquidation, dissolution or winding up of the Company (**excluding** a Liquidity Event), whether voluntary or involuntary.

"**Dividend Amount**" means, with respect to any date on which the Company makes a Dividend Payment, the amount of such dividend that is paid per share of Common Stock multiplied by (x) the Purchase Amount divided by (y) the Liquidity Price (treating the dividend date as a Liquidity Event solely for purposes of calculating such Liquidity Price, subject to the MFN provision in Section 4 below).

"**Dividend Payment**" means the Company's payment of a dividend on outstanding shares of Common Stock (that is not payable in shares of Common Stock) while this Safe is outstanding.

"**Equity Financing**" means a Priced Round conducted by the Company after the issuance of this Safe resulting in gross proceeds to the Company of at least $250,000 (excluding the Converting Securities). If the securities to be issued by the Company in any bona fide transaction or series of transactions with the principal purpose of raising capital are shares of Common Stock or result in gross proceeds to the Company in an amount below the threshold described in the prior sentence, the Investor will have the right, but not the obligation, to treat such transaction or series of related transactions as an Equity Financing for purposes of Section 1, with (as applicable) appropriate adjustments to all references to "Preferred Stock" to account for Common Stock being issued and sold instead.

"**Equity Financing Closing Date**" means the date and time of the initial purchase and sale of Standard Preferred Stock in the Equity Financing after the issuance of this Safe.

"**Excluded Corporate Reorganization Securities**" means, in the event the Company Parties completed a Corporate Reorganization in connection with the Company Parties' acceptance to the YC Program, securities issued by the Company Parties that are either: (i) promised pursuant to agreements or understandings made prior to the YC MFN Start Date and prior to the completion of such Corporate Reorganization, as evidenced in writing, and the primary purpose for delaying the issuance of such securities until after the YC MFN Start Date was to facilitate such Corporate Reorganization; (ii) issued in connection with a Corporate Reorganization in exchange for securities previously issued by the Company Parties prior to the YC MFN Start Date; or (iii) issued prior to the YC MFN Start Date and subsequently transferred or assigned to the Company in connection with a Corporate Reorganization.

"**Excluded Preferred Stock**" means shares of Preferred Stock issued (i) to the investors investing new money in connection with a Priced Round for which a term sheet was fully executed prior to the YC Acceptance Date or (ii) upon the conversion of Converting Securities that are not Covered Securities.

"**Initial Public Offering**" means the closing of the Company's first firm commitment underwritten initial public offering of Common Stock pursuant to a registration statement filed under the Securities Act.

"**Liquidity Event**" means a Change of Control, a Direct Listing or an Initial Public Offering.

"**Liquidity Price**" means the fair market value of the Common Stock at the time of the applicable Liquidity Event (determined by reference to the purchase price payable in connection with such Liquidity Event).

"**MFN Period**" means the time period beginning on the YC MFN Start Date and ending on the earlier of the Equity Financing Closing Date, the consummation of a Liquidity Event, or the consummation of a Dissolution Event.

"**MFN Securities**" means Covered Securities that the Company Parties may issue with the principal purpose of raising capital, with more favorable economic terms than the terms of this Safe (as of the time of the Equity Financing, Liquidity Event, or Dissolution Event, as applicable, pursuant to which this Safe would otherwise terminate in accordance with Section 1(e)), including, without limitation, a valuation cap and/or discount; *provided, however*, that in the event such Covered Securities are issued to one or more investors upon different terms, the term "MFN Securities" will refer solely to the Covered Securities that, if this Safe were amended to reflect the same terms, would: (i) with respect to the Equity Financing, provide this Safe with the lowest Conversion Price Per Share in such Equity Financing (the "**MFN Conversion Price Per Share**"); or (ii) with respect to a Liquidity Event, Dissolution Event or Dividend Payment, entitle Investor to receive the greatest consideration in such Liquidity Event, Dissolution Event or Dividend Payment, as applicable.

"**MFN Stock**" means shares of Capital Stock of the same class and series as that issued to holders of the MFN Securities in connection with the applicable Priced Round.

"**Priced Round**" means a bona fide arms-length transaction or series of transactions with the principal purpose of raising capital, pursuant to which the Company Parties issue and sell shares of Preferred Stock at a fixed valuation, including but not limited to, a pre-money or post-money valuation, whether before or after the issuance of this Safe.

"**Proceeds**" means cash and other assets (including without limitation stock consideration) that are proceeds from the Liquidity Event or the Dissolution Event, as applicable, and legally available for distribution.

"**Safe**" means an instrument containing a future right to shares of Capital Stock, similar in form and content to this instrument, purchased by investors for the purpose of funding the Company's business operations. References to "this Safe" mean this specific instrument.

"**Standard Preferred Stock**" means the shares of the series of Preferred Stock issued to the investors investing new money in the Company in connection with the initial closing of the Equity Financing.

"**YC Acceptance Date**" means the date on which any founder of the Company first accepts admission into the YC Program on behalf of the Company, whether orally or in writing.

"**YC ES Safe**" means that certain Safe issued to Y Combinator ES24, LLC in connection with the YC Program.

"**YC MFN Start Date**" means September 24, 2025.

"**YC Program**" means the Y Combinator batch program for entrepreneurs.

3. ***Company Representations***

(a) The Company is a corporation duly organized, validly existing and in good standing under the laws of its state of incorporation, and has the power and authority to own, lease and operate its properties and carry on its business as now conducted.

(b) The execution, delivery and performance by the Company of this Safe is within the power of the Company and has been duly authorized by all necessary actions on the part of the Company (subject to section 3(d)). This Safe constitutes a legal, valid and binding obligation of the Company, enforceable against the Company in accordance with its terms, except as limited by bankruptcy, insolvency or other laws of general application relating to or affecting the enforcement of creditors' rights generally and general principles of equity. To its knowledge, the Company is not in violation of (i) its current certificate of incorporation or bylaws, (ii) any material statute, rule or regulation applicable to the Company or (iii) any material debt or contract to which the Company is a party or by which it is bound, where, in each case, such violation or default, individually, or together with all such violations or defaults, could reasonably be expected to have a material adverse effect on the Company.

(c) The performance and consummation of the transactions contemplated by this Safe do not and will not: (i) violate any material judgment, statute, rule or regulation applicable to the Company; (ii) result in the acceleration of any material debt or contract to which the Company is a party or by which it is bound; or (iii) result in the creation or imposition of any lien on any property, asset or revenue of the Company or the suspension, forfeiture, or nonrenewal of any material permit, license or authorization applicable to the Company, its business or operations.

(d) No consents or approvals are required in connection with the performance of this Safe, other than: (i) the Company's corporate approvals; (ii) any qualifications or filings under applicable securities laws; and (iii) necessary corporate approvals for the authorization of Capital Stock issuable pursuant to Section 1.

(e) To its knowledge, the Company owns or possesses (or can obtain on commercially reasonable terms) sufficient legal rights to all patents, trademarks, service marks, trade names, copyrights, trade secrets, licenses, information, processes and other intellectual property rights necessary for its business as now conducted and as currently proposed to be conducted, without any conflict with, or infringement of the rights of, others.

4. "***MFN***" ***Provision***. If the Company Parties issue any MFN Securities prior to termination of this Safe, then: (i) in the event of an Equity Financing, this Safe will automatically (without any action on the part of the Company or Investor) convert into shares of MFN Stock in the Equity Financing at the MFN Conversion Price Per Share, as set forth in Section 1(a), or (ii) in a Liquidity Event or Dissolution Event, or in the event of a Dividend Payment, this Safe will entitle the Investor to the greatest consideration payable pursuant to either (a) the terms of such MFN Securities or (b) as set forth in Section 1(b), without reference to this Section 4; in either case, effective immediately prior to the termination of this Safe

(such that the Investor benefits from such more favorable terms in the Equity Financing, Liquidity Event, Dissolution Event, or in the event of a Dividend Payment, as applicable).

5. ***Investor Representations***

(a) The Investor has full legal capacity, power and authority to execute and deliver this Safe and to perform its obligations hereunder. This Safe constitutes a valid and binding obligation of the Investor, enforceable in accordance with its terms, except as limited by bankruptcy, insolvency or other laws of general application relating to or affecting the enforcement of creditors' rights generally and general principles of equity.

(b) The Investor is an accredited investor as such term is defined in Rule 501 of Regulation D under the Securities Act, and acknowledges and agrees that if not an accredited investor at the time of an Equity Financing, the Company may void this Safe and return the Purchase Amount. The Investor has been advised that this Safe and the underlying securities have not been registered under the Securities Act, or any state securities laws and, therefore, cannot be resold unless they are registered under the Securities Act and applicable state securities laws or unless an exemption from such registration requirements is available. The Investor is purchasing this Safe and the securities to be acquired by the Investor hereunder for its own account for investment, not as a nominee or agent, and not with a view to, or for resale in connection with, the distribution thereof, and the Investor has no present intention of selling, granting any participation in, or otherwise distributing the same. The Investor has such knowledge and experience in financial and business matters that the Investor is capable of evaluating the merits and risks of such investment, is able to incur a complete loss of such investment without impairing the Investor's financial condition and is able to bear the economic risk of such investment for an indefinite period of time.

6. ***Miscellaneous***

(a) Any provision of this Safe may be amended, waived or modified only upon the written consent of the Company and the Investor.

(b) Any notice required or permitted by this Safe will be deemed sufficient when delivered personally or by overnight courier or sent by email to the relevant address listed on the signature page, or 48 hours after being deposited in the U.S. mail as certified or registered mail with postage prepaid, addressed to the party to be notified at such party's address listed on the signature page, as subsequently modified by written notice.

(c) The Investor is not entitled, as a holder of this Safe, to vote or be deemed a holder of Capital Stock for any purpose other than tax purposes, nor will anything in this Safe be construed to confer on the Investor, as such, any rights of a Company stockholder or rights to vote for the election of directors or on any matter submitted to Company stockholders, or to give or withhold consent to any corporate action or to receive notice of meetings, until shares have been issued on the terms described in Section 1. However, in the event of a Dividend Payment, the Company will pay the Dividend Amount to the Investor at the same time.

(d) Neither this Safe nor the rights in this Safe are transferable or assignable, by operation of law or otherwise, by either party without the prior written consent of the other; *provided, however*, that this Safe and/or its rights may be assigned without the Company's consent by the Investor to any Affiliate.

(e) In the event any one or more of the provisions of this Safe is for any reason held to be invalid, illegal or unenforceable, in whole or in part or in any respect, or in the event that any one or more of the provisions of this Safe operate or would prospectively operate to invalidate this Safe, then and in any such event, such provision(s) only will be deemed null and void and will not affect any other provision of this Safe and the remaining provisions of this Safe will remain operative and in full force and effect and will not be affected, prejudiced, or disturbed thereby.

(f) All rights and obligations hereunder will be governed by the laws of the State of California, without regard to the conflicts of law provisions of such jurisdiction.

(g) The parties acknowledge and agree that for United States federal and state income tax purposes this Safe is, and at all times has been, intended to be characterized as stock, and more particularly as common stock for purposes of Sections 304, 305, 306, 354, 368, 1036 and 1202 of the Internal Revenue Code of 1986, as amended. Accordingly, the parties agree to treat this Safe consistent with the foregoing intent for all United States federal and state income tax purposes (including, without limitation, on their respective tax returns or other informational statements).

(Signature page follows)

IN WITNESS WHEREOF, the undersigned have caused this Safe to be duly executed and delivered.

COMPANY

CLAYBIRD INC.

By: Abdullah Nauman

Abdullah Nauman
President and CEO

1223 York Street
San Francisco, California 94110
United States

abdullahbnauman@gmail.com

INVESTOR

YC ESP24, L.P.

By: _____

Authorized Signatory

335 Pioneer Way
Mountain View, CA 94041

financings@ycombinator.com

CLAYBIRD INC.

ACTION BY UNANIMOUS WRITTEN CONSENT

OF THE BOARD OF DIRECTORS

The undersigned, constituting all of the members of the Board of Directors (the "Board") of Claybird Inc., a Delaware corporation (the "Company"), hereby take the following actions and adopt the following resolutions by unanimous written consent without a meeting (in accordance with applicable Delaware law governing board action by unanimous written consent):

1. **Approval of Safe Financing**

WHEREAS: After reasonable inquiry concerning the Company's financing objectives and financial situation, the Board, in the exercise of its fiduciary duty, believes that it is appropriate and in the best interest of the Company and its stockholders to raise capital in an aggregate amount of $500,000.00 (the "Safe Financing") pursuant to the sale and issuance of safes ("Safes") to Y Combinator ES24, LLC and YC ESP24, L.P. (collectively, the "Investor").

WHEREAS: In connection with the Safe Financing, the Company and the Investor desire to enter into an agreement pursuant to which, among other things, Investor is granted certain information, management and participation rights in the Company (the "Y Combinator Agreement").

RESOLVED: That the Safe Financing is hereby approved and ratified, and the Company is authorized to sell and issue the Safes to the Investor.

RESOLVED FURTHER: That the form, terms and provisions of the Safes, the Y Combinator Agreement and all other documents referenced therein or otherwise necessary to effectuate the Safe Financing (collectively, the "Safe Financing Documents"), each in substantially the form made available previously or herewith or attached hereto as Exhibit A, are approved and ratified, and that the officers of the Company are authorized to execute and deliver the Safe Financing Documents with such modifications or amendments as the officers may from time to time, in their discretion, determine are necessary or advisable.

RESOLVED FURTHER: That upon the Company's receipt of fully executed Safe Financing Documents and the consideration provided for therein and the satisfaction of any other conditions necessary to issue the Safes in accordance with the Safe Financing Documents, the Company is authorized and directed to issue the Safes.

RESOLVED FURTHER: That all actions taken heretofore by the Company's officers or representatives in connection with the Safe Financing, including, without limitation, the execution and delivery of the Safe Financing Documents and issuance of the Safes, are approved, adopted, ratified and confirmed.

RESOLVED FURTHER: That it is desirable and in the best interest of the Company that its securities be qualified or registered for sale in various states; that the President or any Vice President and the Secretary or any Assistant Secretary hereby are authorized to determine the states in which appropriate action shall be taken to qualify or register for sale all or such part of the securities of the Company as said officers may deem advisable; that said officers are hereby authorized to perform on behalf of the Company any and all such acts as they deem necessary or advisable in order to comply with the applicable laws of any such states, and in connection therewith to execute and file all requisite papers and documents, including, but not limited to, applications, reports, surety bonds, irrevocable consents and appointments of attorneys for service of process; and the execution by such officers of any such paper or document or the doing by them of any act in connection with the foregoing matters shall conclusively establish their authority from the Company and the approval and ratification by the Company of the papers and documents so executed and the action so taken.

RESOLVED FURTHER: That the sale of the Safes authorized in these resolutions shall be conducted in such a manner as to qualify for the exemption from applicable federal or state requirements regarding registration of the offer or sale of securities.

RESOLVED FURTHER: That the officers are authorized and directed to take all actions (including, without limitation, qualifying the sale of the Safes authorized in these resolutions for the exemption from applicable federal or state requirements regarding registration of the offer or sale of securities) and to execute and deliver all documents (including, without limitation, notices, powers of attorney, applications, reports, surety bonds, irrevocable consents and appointments of agents for service of process for the Company in connection with the issuance of the Safes) as may be necessary or advisable to carry out the intent and accomplish the purposes of the foregoing resolutions and to effect any transactions contemplated thereby, and the performance of such actions and the execution and delivery of such documents shall be conclusive evidence of the approval of the Board thereof and all matters relating thereto.

2. **Annexation of Exhibits and Forms**

RESOLVED: That the Secretary is authorized to annex hereto a copy of the exhibits and forms referenced in this action, which are incorporated herein by this reference.

3. **Omnibus Resolution**

RESOLVED: That the officers and their designees or agents are authorized to take all actions (including, without limitation, soliciting appropriate consents or waivers from stockholders) and to execute and deliver all documents as may be necessary or advisable to carry out the intent and accomplish the purposes of the foregoing resolutions and to effect any transactions contemplated thereby, and the performance of such actions and

the execution and delivery of such documents shall be conclusive evidence of the approval of the Board thereof and all matters relating thereto.

[Signature Page(s) Follow]

This action may be executed in writing, or consented to by electronic transmission, in any number of counterparts, each of which when so executed shall be deemed to be an original and all of which taken together shall constitute one and the same action.

The undersigned have executed this Action by Unanimous Written Consent of the Board as of the date set forth below his or her name.

DIRECTOR:

ABDULLAH NAUMAN

Abdullah Nauman

Date of Signature: October 22, 2025

SAAD JAMAL

Date of Signature:

<u>EXHIBIT A</u>

FORM(S) OF SAFE FINANCING DOCUMENTS

[See the form(s) made available previously or herewith]